

YOU CAN'T STEAL IN SLOW MOTION

THE SECRETS OF
COMPETING AND WINNING
AGAINST THE PROS

32 YEARS.
1,100 FLIPS.
THE LESSONS
NO ONE TAUGHT ME...
UNTIL I PAID
FOR THEM.

**FOR
SALE**
OPPORTUNITY

TONY DIAZ

32 YEARS | 1,100 FLIPS | FOUNDER OF FLIPIQ

THE OPERATING SYSTEM THAT RUNS THE PROS

WHAT YOU MUST LEARN BEFORE YOU EARN!

YOU CAN'T STEAL IN SLOW MOTION



The Secrets of Competing and Winning Against the Pros

Tony Diaz

32 Years. 1,132 Flips. Founder of FlipiQ.

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The Phone Call

IT WAS THE FIRST Monday of March 2007. I was in my early 30s and I was building close to 100 new homes all at the same time.

My lender called. I'd had a pipeline of 80+ buyers, all my available inventory in escrow — most of them on stated-income programs (the kind where you tell the lender what you make and they accept it without verification). It was the standard structure that drove the entire subprime market.

"Tony, every stated program is gone. None of your buyers qualify anymore."

I told him: *"Just call the other 80 people in line."*

He paused. *"You don't understand, Tony. It's done."*

I didn't believe him. None of us did. We thought it was a hiccup. A correction. The market would shake itself out and we'd be back to normal in 60 days.

It wasn't a hiccup. It was the start of the worst financial crisis since the Great Depression.

I spent the next year trying to keep the company alive. Met payroll out of personal savings. Kept staff on. Made every payment I could. In total, I burned through about \$1 million of my own money trying to keep things together.

I should have cut the cord earlier. I held on too long because I felt responsible for the people I employed. By the time I finally accepted what had happened, I was wiped out.

That's the gas station season I don't want to relive. The lowest point of my life.

I came back. Built it again. Different this time — slower, smarter, with relationships I never would have built if the first version of me hadn't collapsed. Today I'm 50 years old. I've flipped 1,132 houses. I live next door to my sister and my best friend. I'm married to

a wonderful woman. I have three daughters. The work is simpler now. The wins are quieter. The peace is louder.

This book exists because I want you to skip the gas station.

You're going to make mistakes — everybody does, that's the tuition. My goal is that you pay less than I did, learn faster than I learned, and end up at the version of this business that's worth doing instead of the version that breaks you.

Turn the page.





A Note Before You Start

I'M 50 YEARS OLD. I've flipped over 1,132 houses. I've made a lot of money, I've been blessed, and at this point in my life I've figured out what most people don't figure out until much later — the real win is helping other people win.

I'm not selling you a course. I'm not upselling you into a \$30,000 mastermind. I'm not promising you a million dollars from your underwear in your first year. If that's what you came here looking for, close the book — somebody else will be glad to take your money.

One thing I want to be honest about up front: I am going to point you to a few tools my team and I built — FlipiQ (the operating system that runs my operators), USale (a free buyer marketplace), iBuyer Connect with Cloud CMA (the agent cash-offer platform I co-created), and a couple of free GPTs I built (Pro-Bidder and a few others) that you'll see referenced in the chapters. Use them, don't use them — whatever works for you. Nothing in this book requires you to use any of them. The book stands on its own. The tools are linked at the back if you want them. I'm telling you they exist because the alternative is pretending they don't, and that's the move every guru I've ever called out makes. Not this one.

Here's the trade, straight up: I want you to buy houses. Not one. Three, four, five. Because when you become a real buyer who knows how to move fast, our network finds the deals and you close them. We both win. If I rip you off on deal one, you don't come back. So my motive is the opposite of every guru you've ever met — I need you to make money.

What this book is not:

It's not advice. It's my opinions, my experience, my point of view after 32 years in the most competitive market in the country.

It's not a guarantee. There are none in this business.

It's not a promise that you'll make money. You probably won't on your first flip. If you break even, you got lucky.

It's not the only way. It's just my way — the way I learned by paying for it.

What this book is:

It's the things I wish somebody had told me before I paid the flipping gods millions of dollars in tuition. Everybody in this business pays. Nobody skips it. My goal is that you pay less than I did.

The one thing you need to understand before you turn the page:

Everybody is selling you. The wholesaler is selling you the deal. The contractor is selling you the job. The realtor is selling you their services. The lender is selling you the loan. They're not bad people — they're looking out for number one, exactly like you should be looking out for number one. But everybody is going to tell you what you want to hear. The wholesaler says it's a great deal. The realtor says they can sell it for a trillion dollars. The lender says two points is no problem. The contractor says yeah, sure, I can do it for your price.

You're the one who pays when any of them are wrong. Not them. You.

So train yourself to ask one question, over and over, on every conversation: **Why?**

Why is this wholesaler so willing to sell this to me? Why is this contractor so quick to take my price when nobody else would? Why is this listing agent unwilling to adjust commission if he misses the number? Why why why why.

Why is your magic question. It's the only one you need.

Last thing before we start:

You will fall. You'll get up. You'll fall again. You'll get up again. And then one day, you'll stop falling — and that's when you can earn. There's no way around it. You learn before you earn. Everybody pays. Anybody who tells you different is the guy selling you something.

If you've got the courage and the guts to keep going after the first one hurts, you're going to be fine. Eventually you become part of the network. You bring money, you bring relationships, you bring deals, and we all win.

That's what this is. That's the whole deal.

Turn the page.





Who This Book Is For

THIS BOOK IS FOR the person scrolling Zillow at 11pm with a pit in their stomach. The one who knows they want to do this — they just don't know where to start.

It's for the person who's been working for somebody else for too long, watched the friend with the G-Wagon flip houses, and figured out he's not smarter than you. He's not. But he's not going to hand you his secrets either. He paid for his stripes. I paid for mine. Everybody you respect in this business paid for theirs. The reader I'm looking for is the one who already understands that — and wants to pay less than the rest of us did.

This book is for you if:

You're considering getting in. You've been watching, researching, scrolling Zillow, calling realtors — and you're ready to stop watching and start.

You flipped one. It scared you, taught you, maybe broke even — and now you're looking at the second one and you want to do it smarter.

You've done two or three. You're stuck. You're getting outbid, margins are shrinking, and you're ready to be part of a network of people who actually want each other to win — servant leadership, not extraction.

You're tired of getting beat out by the pros and you're ready to learn how they think.

You want to buy a property for yourself, for your daughter, for a rental — and you want to do it like an investor instead of a retail buyer paying retail prices.

This book is NOT for you if:

You think you're going to flip without money. You're not. It doesn't have to be your money — but somebody's money is in every deal.

You paid a guru \$30,000 and you're looking for the easy button. There isn't one.

You think you're going to get rich this year. You're not. You can get rich — but not this year, and not without earning it.

You want somebody else to be responsible for your outcome. Nobody is. The wholesaler, the contractor, the realtor, the lender — they're all looking out for themselves, exactly like they should be. Your wins are yours. Your mistakes are yours. 100%.

The whole point of what I'm going to teach you is this: when somebody is pressuring you to close in two weeks, drop the deposit tomorrow, get the inspection done, remove contingencies — you're not going to freak out. You're going to understand. You're going to have the resources lined up to move fast enough to buy and close like a pro. Because if you can't move that fast, you're not going to buy the deal. I will.

Doesn't mean you have to do it the way I do it. At least you'll understand what the people you're competing with have to do every day. That's the difference between watching the game and playing it.

One last thing. Don't partner with me. I'm not offering. I'm going to teach you how to partner with the right people — and that's a different conversation.

If that sounds like you, keep reading.





How to Use This Book

THIS BOOK IS SHORT on purpose. Read it cover to cover, jump around, come back to a chapter when a deal hits you sideways — I don't care. It's a quick read. Use it however it helps.

The whole business comes down to three things:

- Finding the deals.
- Having a process and the financing to move on them.
- Knowing how to fix and sell the property.

That's it. Every chapter in this book serves one of those three.

When you finish the book and you've got questions it didn't answer, there's an AI assistant — “Ask the Expert” — linked at the back. It's free. Use it. It has more information than I could fit in these pages, and it'll point you to the right resources.

One thing to keep in mind from page one to the last:

This is a people business, not a houses business. The realtors who bring you deals, the wholesalers who call you first, the contractors who show up and finish the job, the lenders who answer the phone on Sunday — those relationships are your business. Houses are just what those relationships move.

That's how you use this book.

Turn the page.



CHAPTER 1



Don't Get Caught Up in the Hype

BEFORE YOU READ ANOTHER page, do this: take this book, drop it into ChatGPT or whatever AI you use, and ask it one question — how accurate is this information, where's the catch, or is this guy full of BS? Then come back.

I'll wait.

I want you to get used to using AI on me. On everybody. Because AI isn't going to take your job — somebody like me, who doesn't go to the bathroom without AI, is going to take your opportunities. You might as well use it before it uses you. Yes, I wrote this book through AI. I talked, it typed. My brain, my thoughts, my 32 years — the AI just put it together. Welcome to the new century.

Now let's talk about the people I'm trying to get you away from.

The coaching trap — don't get gurbed

A GURU USED TO be a guy who'd compile some good information, put it on a CD, drop it in a backpack, and sell it to you for \$30,000. I call it a backpack full of CDs and bullshit.

The information was actually fine. It just wasn't actionable — because the problem in this business has never been knowledge. The problem is experience. Knowledge you can get for free. Experience you have to pay for, one mistake at a time, until enough mistakes turn into wisdom.

That's it. That's the whole game.

The information in this business has been democratized. It's free. Zillow, YouTube, Reddit, ChatGPT — every fact a guru is selling you is on the internet for nothing. If somebody is providing you a real tool or a real service, fine, pay for it. But don't pay for information. And don't pay somebody \$30,000 to tell you what you want to hear, hand you a "system," and then ghost you when the deal doesn't work.

I have a good friend who paid 30 grand to one of the big-name guys. I'm not going to tell you who. When I saw what they gave him, I got pissed. It was abusive. But — and this is the part nobody wants to hear — they can't force you to run the credit card. You're the one who swiped it. Not them. That's the first lesson of this whole book: you're the one who pays for every decision you make.

And the testimonials? Worthless. The five-star reviews are people who haven't done a deal yet. The one-star reviews are usually people who paid the coach money and didn't follow the process. Neither one tells you anything. The proof is in the pudding — and in this book I'm going to teach you how to vet partners, contractors, and lenders by actual numbers, not by what somebody says about them on a sales page.

While we're at it — TV shows. Don't bother. I've been offered to do a few. I won't. The fakery is disgusting, and I know a lot of those local guys personally because this is a small business. What they're building isn't for a buyer. It's for the camera. It's not the same job.

There's no magic wand

IF SOMEBODY IS TELLING you this is easy, they're selling you something. That's how you spot them.

There's no secret. There's a formula, there's a blueprint, there's a process — but there is no secret. I buy my materials at Home Depot, Lowe's, and Amazon. My contractors are the same guys you see going back and forth across town in their trucks. The data I use is publicly available on Zillow. Most of my flips are Home Depot specials. Nice. Well designed. Not because I'm a designer — because I know how to look at data and figure out what the buyer in that neighborhood actually wants. That's it. That's the magic wand.

And while we're killing magic wands — there's no "flip with no money." You need money. It doesn't have to be YOUR money, but somebody's money is in every deal. Anybody telling you different is selling you a course about the loophole they "discovered."

Here's the time-effort-return question I run on every decision in this business: how much time am I putting in, and what is the return? It's the only question that matters. The first-time flipper who decides to "save money" by painting the house himself is paying himself \$15 an hour and losing six weeks of velocity. I know — I did it on my first flip. Took me three months. Did a shitty job. My paint lines were more crooked than our government. I'm a horrible handyman. I don't have the patience. You're not getting into this business to fix houses. You're getting into this business to scale. You cannot scale if you're holding the paintbrush.

It takes a village

THIS IS NOT A house flipping business. This is a people management business. The houses are just what the people move.

Your realtor, your contractor, your capital partner, your transaction coordinator, your support team — that village is your business. The lone wolf loses every time. He loses because he tries to save money on the people who actually generate it for him, and he loses because he tries to do everything himself, and he loses because he doesn't have somebody on the inside calling him when a deal comes up before it hits the market.

Don't be cheap with the village. Pay people well, pay them fast, be clear about what you're paying them for, and tie their outcome to yours. We'll get to all of that — Chapter 6 is the whole village. For now just know that nobody in this business who is winning is winning alone.

The punchline

HERE'S HOW YOU KNOW if you're already on the wrong track.

If you call me and tell me you found your last deal on the MLS, and I ask "was it a new listing?" and you say "yeah, it just hit the market — I beat everybody else to it" — I don't even have to see the property.

You paid too much.

Why? Because if you bought a property on the MLS and you beat everybody else, you paid enough to beat everybody else. That's not stealing. That's retail with extra steps.

A different story sounds like this: you got there before it hit the MLS. You forced the agent to meet you at the property. You showed up with your contractor. You handed in a non-contingent offer. You gave the agent a double-ended commission AND the listing on

the back end when you flip it. The second the property was about to hit the market, it was yours.

That's a deal. That's what the pros do.

That's also why this book is called what it's called. Because you can't steal in slow motion — and the next chapter is about exactly that.



CHAPTER 2



You Can't Steal in Slow Motion

YOU CAN'T STEAL in slow motion.

That's the whole game. The rest of this book is the proof.

Here's what I mean by it.

What “stealing” actually means

NOBODY IS GOING TO give you a house. After 32 years, not one seller has ever sold to me out of generosity. Every seller is trying to get as much as they can. Every wholesaler is trying to charge you as much as they can. Every realtor is trying to close at the best price for whoever pays them.

So how does anyone buy below market? You don't buy below market. You buy below market to the people who can move on it. When a property is sitting on the open market, exposed to every buyer with a phone and a pulse, the price is the price. You can't steal there. The market priced it. Everybody's looking.

When a property is in front of one buyer, before MLS, with a seller who needs to move now, and the buyer can close in two weeks — that's where the discount lives. Not because the seller is a charity. Because speed has a price, and the seller is paying it to you.

That's “stealing” in this business. You're not robbing anyone. You're getting paid for being the fastest, most prepared, most reliable buyer in the room.

And you can't do any of that in slow motion.

Why speed wins (the part nobody understands until they lose a deal)

A SELLER IN DISTRESS is not waiting for you to think about it.

A wholesaler with five buyers on his list is not waiting for you to “run it past your spouse.”

A listing agent watching a pending deal start to crack is not waiting for you to “get your financing together.”

They’re moving. Right now. And the operator who gets the deal is the one who was already ready when the call came in.

You make money on the purchase, not the sale. That phrase is the oldest line in real estate, and it’s the most misunderstood. Most beginners hear it and think it means “buy low.” What it actually means: the margin is decided the day you sign the contract, and you can only sign that contract at a discount if you can move at operator speed.

The slow buyer pays retail. Every time. Even when they think they’re stealing, they’re not — because if it took them three weeks to get the deal under contract, the deal was on MLS for three weeks. By definition, it wasn’t a steal. It was a retail purchase with extra steps.

You either buy fast or you buy expensive. Pick one.

How to be ready

READY ISN’T A FEELING. Ready is an infrastructure.

Ready is when the phone rings at 9am Tuesday and by 9pm Tuesday you’ve walked the property, run the numbers, written the offer, and committed an earnest money deposit — and you slept fine that night because everything was already in place.

Ready means:

1. Money is lined up before the deal. Not pending. Not “I’m working on it.” Approved. Letter in your inbox. Lender on speed dial. (Chapter 7 covers the financing mechanics.)
2. Your contractor will drop what they’re doing to walk a property with you. Because you pay them well, you pay them fast, and they want the next 30 jobs from you. (Chapter 8.)

3. Your agent already knows your buy box cold. You don't have to re-explain who you are every time you ask them to send you something. (Chapter 5.)
4. Your buy box is written down. Price range, neighborhoods, product, scope. So when somebody sends you a deal, you can answer "yes" or "no" in 60 seconds. Not "let me think." (Chapter 4.)
5. You've already decided the things you don't decide on the fly. Max offer formula. Walk-away triggers. Inspection priorities. Title indemnification rules. (Chapter 7.)

That's "ready." It's not enthusiasm. It's a system.

The reader who isn't ready yet — the homework is in the next 12 chapters. Every one of them is a piece of getting ready. By the time you finish this book, "ready" is no longer a mystery. It's a checklist.

The reframe

MOST BEGINNERS THINK FLIPPING is about finding houses.

It's not. Flipping isn't about just finding houses — it's about being the person who's trusted to move fast and guarantee that agent or wholesaler a smooth transaction. That's earning somebody's trust. The house is just what the trust buys.

You can't steal in slow motion. So stop trying.

The rest of this book is how you stop.



CHAPTER 3



Who You're Really Competing With

THE BEGINNER THINKS THEY'RE competing with other beginners on Zillow. They're not.

You're competing with people who know the agent's name before the listing goes up. You're competing with cash buyers who don't blink at \$50,000 swings. You're competing with iBuyer algorithms that fire offers from a desk 2,000 miles away. You're competing with the acquisitions team at a fund that closes 30 properties a month and doesn't lose sleep on any individual one.

Most importantly, you're competing with operators who out-relationship you on properties you'll never even see.

Let me walk through what that actually looks like.

The \$1,000 story

A WHILE BACK I made an offer on a property. The listing agent wasn't excited about repping me. I didn't push it. Submitted my number, waited.

I lost. Standard.

So I did what everyone should do but almost nobody does: I looked up the closed sale on public record after escrow closed. Who bought it, what they paid, what agents represented the deal.

The winning offer was exactly \$1,000 over mine.

Magically.

That's not a coincidence. That's the listing agent telling his preferred investor — the one he reps on the buy side AND the one who'll list it on the sell side — “go a thousand bucks higher.” Because the agent knew my number.

I didn't lose because the other buyer had more money or smarter math. I lost because the agent had a relationship that wasn't with me.

What do most beginners do when this happens? Leave a one-star review. Post on Facebook about how realtors are crooks. Move on.

What I did: called the agent back. “Hey — your investor paid a thousand more than me because you advised them correctly. How do I get into that position with you on the next one?”

That call is the lesson of this entire chapter. I don't beat my competition by overpaying. I beat them by out-relationship-ing them. And when I lose, I use the loss to build the next relationship.

Who's actually in the ring with you

LET ME NAME THEM, because most beginners don't even see them.

The institutional buyers. iBuyers (Opendoor, Offerpad). Hedge funds. Wall Street single-family rental portfolios. These guys are running algorithms in zip codes. They will outbid you on the boring 3-bed, 2-bath you wanted, sometimes by \$20,000, sometimes by \$1, and they don't care. Their cost of capital is lower than yours and they're underwriting to a different exit (hold-and-rent vs. flip-and-out). When they're aggressive in your market, you can feel it. When they pull back, the field opens up. Track them.

The full-time operators. People doing 20, 50, 100+ flips a year. Tech stacks. Acquisitions teams. Large lines of credit. They send hundreds of offers a month. You don't see them on Zillow because they're not shopping Zillow — they're getting first calls from agents you haven't met yet.

The cash buyer with no urgency. The 60-year-old investor with \$3M in his accounts and 30 years of credibility in the market. He doesn't run hard money math. He doesn't have a clock ticking on points and interest. He pays for the deal because he can hold it forever if he has to. He's the floor on what bidding looks like in his neighborhoods.

The agent who flips on the side. Licensed, sees deals before they hit MLS, and self-deals or assigns to friends. Their information edge is structural — they can't help but see the deal first.

The wholesaler with a buyer list. Has 500 buyers vetted. The deals never make it to you because their list of A-buyers closes the property before it ever gets to the B-list. You're somewhere on the C-list, getting the leftovers the A's didn't want.

That's the room. That's who's bidding when you're bidding.

The acquisitions story — the harder it gets, the harder you work

I HAVE AN ACQUISITIONS manager friend who's been in the business for years. He was working at one of my investor-operator clients, averaging a few deals a month. The market tightened. He dropped to one a month.

His read on the situation: "It can't be me. The market got harder, my numbers fell, that proves it."

He left to look at another shop. A young, hungry crew doing about 30 deals a month. Killing it. He spent some time inside their office, came back to me genuinely confused:

"Tony, they're not doing anything special. Their processes aren't better. Their systems aren't better. Their tech isn't better."

I asked: "So what are they doing?"

He paused. "They're just calling agents. Constantly. Building relationships."

That's it. That's the whole answer. Same conditions, same tech, same market — different effort. When the market gets harder, the only honest response is to work harder. People who keep doing what worked in 2021 are getting beaten by people who picked up the phone.

Is right now a good time to flip?

ASK A REALTOR AND they'll always tell you yes — because they want your listing. Ask me, and you'll get a real answer:

If you're brand new and looking for easy money: no, this is not a good time to start. Property prices are inflated. Materials and labor are expensive. Buyers are nervous. Margins are tighter than they were two years ago.

Is next year going to be easier? Probably not. The year after? Probably not.

But here's the thing — there is no perfect time. There never was. It's like waiting for the perfect time to take a vacation. The vacation never happens.

What I'll tell you honestly:

6. If you've got a 1031 exchange burning a clock, you're not flipping for fun — you're flipping for tax reasons. Different math.
7. If your taxes are killing you and you need depreciation, different math.
8. If you're taking your kids' college fund to “try flipping” — no. Walk away. Read the book again next year.
9. If you want to start now to learn the business, build relationships, understand the process, run the exercises, and be ready when the right deal shows up — start. There is no bad day to buy a good property.

I made the most money when the market was at its worst. Fewer buyers. More opportunity. More equity built into every purchase. The buying-correctly is the magic. Not the market.

For the entertainment-purposes-only record: every word of this chapter is my opinion. I'm not your financial advisor. I don't know your situation. The number you pay for a property is your number. The decision to enter this business is your decision.

But I'll say this — the U.S. is doing about 4 million transactions this year, down from 5 million in normal years. That's still a massive market. People are still making real money. They're not making it because they timed the market. They're making it because they showed up, made the calls, and bought right.

Pick your battlefield — the LA problem (and the cities like it)

ONE MORE PIECE OF competitive intelligence: not all markets are equal, and the city you flip in matters as much as the property you buy.

I'll pick on Los Angeles because I've earned the right to after 30 years. LA's permitting department is brutal. Plans can sit on a desk for six months. Permits get “lost.” Inspectors disappear. The city's operating model is: we're not happy until you're not happy.

It's not just LA. Plenty of small cities run the same playbook. Every day they sit on your plans is a day of carrying costs you can't get back.

When you pick your market, factor in the bureaucracy as a cost. Permit-friendly markets compound your returns. Hostile markets compound your losses.

What to actually do with this chapter

YOU ARE COMPETING WITH people who are smarter, better-capitalized, more connected, and more disciplined than the average person on Zillow. You are NOT going to out-spend them. You are NOT going to out-finance them. You are NOT going to out-bid them on the obvious deals.

So here's what you do instead:

10. Out-relationship them. Make the calls they're too lazy to make. Show up to the meetings they don't bother with. Follow up on the deals they forgot about.
11. Stay in your lane. Pick a market, pick a product type, pick a price band. The operators winning right now are specialists, not generalists.
12. Treat every loss as a relationship opportunity. Every property you lose is a chance to call the agent and ask why. That's how you get into the room for the next one.
13. Hedge your start. Be disciplined. Follow the process. Buy the right properties. Have the right team.

Now we're done clearing the deck. Next chapter is the title of the book — and the reason all of this matters.



CHAPTER 4



Why Most People Chase the Wrong Properties

MOST BEGINNERS CHASE THE wrong properties for the same three reasons: they're impatient, they fell in love with a house instead of a deal, and they think they're going to hit the home run.

Let me kill those one at a time.

Patience is the buy box

YOUR BUY BOX IS your number one rule.

A buy box is a clear, written set of criteria: price range, neighborhoods, product type, condition, max rehab budget. Inside the buy box, you can move with confidence. Outside the buy box, you're guessing — and the market punishes guessing.

You step out of your buy box, you get a beating. You'll get humbled. Then you'll come back to your buy box — if you still have the guts to keep going.

What's the right property to buy? A simple property that gets you in and gets you out. Minimize the time on the calendar. Minimize the number of moving variables. Don't try to hit a \$100,000 home run. Make \$30,000 or \$40,000 and move forward.

Single-family. Three-bed, two-bath. In your area. Built after 1965 so you're not dealing with galvanized plumbing or ungrounded electrical. Focus on three to four weeks

of cosmetic work — paint, carpet, windows, roof, landscaping, maybe a pool resurface. Not moving walls. Not building ADUs. Not adding a third story. Not running heavy rehabs that require plans and permits.

If you want to do additions, ADUs, and helicopter pads — go pay a guru \$30,000 to teach you how. Then when the math falls apart and you’re trying to figure out how to make payroll, write your own book in 30 years and tell people to keep it simple.

Keep it simple.

Kill the 20% ROI fantasy right now

SOMEBODY TOLD YOU TO only flip 20% deals. That advice is from somebody who hasn’t done a deal in three years.

There are no 20% paint-and-carpet deals in today’s market. The “I only flip 20%” guys are doing one deal every six months. Meanwhile, I’m doing 12% deals on a 90-day cycle. Four times a year. My Internal Rate of Return (IRR) is the annualized percentage yield of an investment over its entire holding period.

Don’t get stuck on the ROI number. Run the math the way operators run it: time-effort-return.

Strategy	ROI per deal	Cycle	Deals/year	Annual return
The “20% guy”	20%	180 days	2	40%
The 12% operator	12%	90 days	4	48%

The 12% guy wins, with less risk, less capital lockup, less exposure to a single deal going sideways. 12% is a good number when you can turn the inventory. Anybody who tells you different — go buy their book.

100 offers buys 2 deals

WE’VE GOT A MULTI-MILLION dollar tech stack, AI, 32 years of relationships, and a network of agents and wholesalers feeding us. We send hundreds of offers a month. We still buy 2 properties out of every 100 offers.

So when you make 10 offers and tell me “there’s no deals” — you’re right. There aren’t. For you. Not yet.

This is not a 10-offer business. It's a 100-offer business. Run the funnel:

14. 100 offers a month
15. 2 close → that's a property every two weeks
16. \$40,000 net per deal → \$80,000/month
17. \$960,000 a year

You can do that from home. No employees. No big office. The contractor does the work. The agent lists the property. The transaction coordinator runs the paperwork. You make the calls and run the math.

That's the magic. It's also the only magic. There is no other.

The market today is not the market we used to flip in

A NOTE ON THE macro: the government printed money. Real estate didn't appreciate — it inflated. Everyone has equity now. People stuck in a 2.5% mortgage can't afford to sell because they can't afford to buy anything else with today's rates. People who used to be underwater are sitting on equity and selling only when they want to.

The "I have to dump this for whatever you'll pay" seller doesn't exist right now. Distress is rare. Equity is everywhere. Your math has to adjust accordingly. Don't underwrite a deal expecting a desperate seller — underwrite expecting a market-aware seller in a tight situation, who'll sell to you for a modest discount when their circumstances force it.

If that's not the deal in front of you, it's not your deal.

Don't fall in love with the property

YOU'RE NOT BUYING A house. You're buying a margin.

Don't fix it the way you would if you were going to live in it. That \$240 light fixture you love? It's not going to make the sale. The sold comps are the only data that matters — and the data is unbiased. Just follow what the other flippers that are selling for top dollar are doing. Don't get cute or creative.

The Best Value Pricing Model. Here's what I mean. When the buyer drives around with their realtor and looks at ten houses in your target neighborhood, they're going to pick the one that's the best VALUE — the best condition for the price, against direct competition.

You're not the cheapest. You're not the most improved. You are the best value at the current market.

If you price right, fix right, and your carrying costs don't force you off your number — you sell first. Doesn't matter how slow the market is. Best value always sells first.

Under-doing AND over-doing will kill you

THE REALTOR WILL ALWAYS tell you to over-improve — they want a higher listing price.

The contractor will always tell you their bid is too tight to do it right — they want a bigger budget.

You're in the middle. The decision — what to fix, what to skip — does not come from either of them.

It comes from the sold comps.

The sold comp in your micro-market is your crystal ball. The one that sold for the most, in the last 90 days, in the same neighborhood — go look at it. How long did it sit? What did it sell for? How was the kitchen finished? What windows did they put in? Did they touch the bathrooms or leave them?

If you fix your property the way the top-selling comp got fixed, you priced your way into the same buyer pool. If you go nicer than the comp, you over-spent. If you go cheaper than the comp, you'll sit on the market.

Open the photo of the top comp and look closely. It looks nice. Staged. Pretty. But it's a Home Depot special. Same materials. Same fixtures. Same flooring. Just tastefully done.

Don't get cute. Don't get creative. Don't have your aunt the interior designer come over and pick "her colors." Everybody has an opinion. Everybody's an expert. You're the one writing the check. The sold comp data is the only data-driven information you can rely on to know what the finishes need to be.

The "show me the comps" test

WHEN AN AGENT TELLS you "you should add this," or "you should upgrade that," or "trust me, I do a lot of stuff in this neighborhood" — your only question:

"Show me the comps."

If they can pull a sold property that did exactly that improvement at exactly the price they're suggesting — "Here's comp on 123 Main St, here's the kitchen, here's what they did, here's what it sold for" — congratulations. You found a great agent. Listen to them.

If the answer is "there are no comps right now, but trust me" — you're buying on hope. The only hope you have at that point is that you don't lose a lot of money.

ARV math — know it cold

AFTER-REPAIR VALUE (ARV) is the number you're selling for after the rehab. It determines everything else.

Three core variables:

18. Purchase price — what you pay today
19. Repair budget — what it costs to get to ARV condition
20. ARV (sales price) — what comparable fixed-up properties sold for in the last 90 days

Then the costs beginners forget:

21. Financing costs — hard money interest, points, lender fees
22. Selling costs — agent commissions, transfer fees, closing
23. Holding costs — property taxes, insurance, utilities, debt service
24. Title and escrow — these are negotiable, by the way; pre-negotiate them before you open escrow

Miss any of those, your "20% deal" turns into a 5% deal. Or a -3% deal. The math doesn't care how excited you were when you bought it.

Where the data lives, and who you can trust

ZILLOW HAS GOOD DATA. Redfin has good data. The MLS is the gold standard.

The data isn't the problem. The problem is who can decipher it.

Most beginners look at the Zestimate and think they have an ARV. That's not an ARV. That's an algorithm that's never set foot in the house. Real ARV comes from sold comps, in the same micro-market, with similar specs, that closed in the last 90 days — and ideally, that were fixed up to a similar finish level as yours will be.

If you don't know how to pull those comps, that's where a good agent earns their commission.

Buy by the average, not by the high comps

IF THE NEIGHBORHOOD IS 3-bed / 2-bath averaging \$450,000 — that's your comp universe. Don't buy a 2-bed / 1-bath thinking you'll add a bedroom and sell at the top. You won't. You'll over-improve, over-spend, and exit at the average — which is below where you needed to be. Unless you can easily add the bedroom inside the current square footage, trust me, do not do an addition. It's not worth it, especially at this price point.

Run your math on the average sold comp in the last 90 days. Not what you hope it'll sell for. Not the one outlier where the seller's brother-in-law overpaid. The average is honest. The high is a fantasy.



THAT'S HOW THE WRONG property looks and how to avoid it. Buy box, average comps, simple scope, no falling in love, data not opinion.

Next we go deeper into how the people in this market actually operate — because finding the property is half the game. Closing the property without too much pain is the other half.



CHAPTER 5



Where the Best Deals Live

THE WHOLE GAME IS finding the deal. Fix everything else after.

There are four places deals come from: off-market direct, on-market through agents, wholesalers, and seller-direct. They are not equal. They do not pay equal. They are not equally hard. Most beginners pick the wrong one to start with, burn out, and quit before they ever find out which one was actually going to work for them.

Here's the truth, ranked by where the **BEST** deals live and what it actually takes to get them.

Off-Market vs. On-Market

OFF-MARKET WINS ON MATH.

On a \$500,000 house, going direct to a seller versus going through an agent on MLS will save you somewhere between \$20,000 and \$30,000. That's roughly the 5% commission the seller would otherwise pay. The seller is always looking at a number. The realtor is the puff on top. If the puff disappears, that money is sitting on the table — and either you or the seller gets to keep it.

So off-market is the **BEST** deal. It's also the **HARDEST** one. To get to a seller direct, you need data, money, systems, and time. Subscriptions like PropStream, PropertyRadar, skip-tracing services, marketing budget, hours of “couch time” sitting in a stranger's living room listening to them tell you their grandma died and their brother is an asshole. I'm not exaggerating. That's the job. I've done it. I'm good at it because I genuinely help people. It's a different monster.

This is also where the gurus get you. Off-market makes sense. The information IS real. That's why people pay for it. What the guru doesn't tell you is it takes time, processes, expensive marketing, and a learning curve to figure out what to pay and how to talk to a distressed seller. If it were easy, everybody would do it. They don't, because it isn't.

I'll be honest — seller-direct is not my specialty, and I'm biased. I'm very good at building relationships with agents so they bring me the off-market deal without me having to go cold-knock on doors. If you want to be a wholesaler instead of a flipper, that's a different book. This book is about finding property to flip.

My honest recommendation for the beginner: skip seller-direct. Don't try to learn three businesses at once. Build the agent relationships first. Pay the wholesale premium when you have to. Come back to seller-direct in year three if you still want it.

Now to the real question: on-market vs. off-market through an agent.

An agent who brings you a deal that's ON market has a listing. They are obligated to put it on MLS within 24 hours and present every offer they receive. That's their fiduciary duty. You're competing with everybody else who's looking.

An agent who brings you a deal that's OFF market does not have a listing yet. They control the timeline. That means less competition — sometimes none. How that agent represents their fiduciary responsibility is their problem, not yours. Your job is to be the person they call BEFORE the property goes on the MLS.

That's where the deals are. That's the only thing that matters from here.

Investor-Friendly Agents — The Right Agents and the Right Incentives

YOU'RE GOING TO HEAR "investor-friendly agent" thrown around like it means something specific. It doesn't. Every agent will tell you they're investor-friendly because investors do repeat business and they want the listing on the back end. The label is meaningless. What you actually want is an agent who **DOES** investor business — and you can verify that on Zillow in five minutes.

Step one. Monday morning. Zero relationships. Where do you start?

Go to Zillow Pro. Filter by your area and by specialty: investment properties. Direct link:

[zillow.com/professionals/real-estate-agent-reviews/\[your-city\]/?specialties=investment-properties](https://www.zillow.com/professionals/real-estate-agent-reviews/[your-city]/?specialties=investment-properties)

Open each profile. Find the team lead. Call the team leader, not the bottom rep on the org chart.

The opener: “Hey, I’m a buyer, I’m doing this — who on your team specializes in investor properties?”

That’s it. You’re not pitching. You’re sorting.

Step two. Run the math.

25. 10 calls a day.

26. 50 calls a week.

27. Out of 50, you’ll connect with 2 solid agents you actually click with — your “weekly two.”

28. Take two weeks off a year: $50 \text{ weeks} \times 2 \text{ agents} = 100 \text{ solid relationships per year}$.

If each of those 100 agents sends you ONE deal every other year, you’re closing roughly four deals a month. Four. A. Month. The handful of investors who do four-plus per month are running exactly the playbook I’m describing.

It’s simple to understand. It’s brutally hard to do. Why? Because that means you have to make 10 calls a day. Get off your computer. Meet people. Buy them coffee. Show up at their office. Become friends. Know their birthdays. Show up on their LinkedIn and their Facebook. Be a real human being.

Bring value. Be humble. Don’t walk into the first call acting like you know everything — that’s the fastest way to never get a callback. Realtors have egos. Use them. “It’s my first property, I’m building my team, I’d love to learn from you — you’re the expert.” Watch what happens.

Step three. Understand the tiers.

The heavy-duty agents — the ones doing 20+ investor deals a year — don’t fool yourself. They already have their buyers. For now, those agents are a long game — be in their orbit, stay friendly, and maybe one day you’ll be consistent enough to get in their inner circle. Don’t give up. These people require face-to-face meetings.

Your weekly two are the agents doing 2-3 investor deals a year. Those are the ones who pick up the phone, meet you for coffee, and call you when something comes up. Those are the relationships that compound.

The script when you finally get the right agent on the phone:

Don’t ask questions that are answered in the public remarks. Be confident. Be quick.

29. “Is there anything else you have coming up that’s a good opportunity?”

30. “How do you usually work with your investors?”

31. “What would make it more enticing for you to give me a first look?”

When they qualify YOU back — and they will, because the same way you’re qualifying them, they’re qualifying you — here is the WRONG answer:

“Well, I haven’t gotten qualified yet, my uncle’s going to give me the money.”

Wrong. Rookie. Time-waster. Tire-kicker. Click. The agent has just deleted you from their phone. It’s okay to be new. It is not okay to be unprepared.

Here is the right answer:

“I’m putting my team together — I’m approved by a hard money lender who can close in two weeks. I’ll bring my contractor to walk the property so we can remove contingencies fast.”

That’s the answer of somebody who’s going to close. That’s how the game is played.

One more rule — the ARV rule.

The agent selling you the property is selling you something. They want you to pay more. The only way you can pay more is if you believe you can sell for more. They are not the right people to give you the ARV. Your ARV comes from your OWN agent — the one who supports you whether you buy this deal or not. That’s a different relationship. Make sure you have it.

You don’t need one of those. You can have twenty.

The On-Market Secret that most ignore — Pending and Backups

DO NOT COMPETE ON what everybody else is chasing.

Active listings and price changes? That’s where 99% of investors are looking. You’ll lose. You’ll lose because the field is too crowded and somebody will always pay more.

Here’s the magic wand. Highlight it. Dog-ear the page.

Call properties that are PENDING/BACKUPS.

Call them on Day 3. Day 10. Day 21.

32. **Day 3:** The buyer who just locked it up overpaid. The buyer is a rookie who didn’t read this book. They are about to find out their hard money lender doesn’t

love the appraisal, their inspection turned up termite, and their spouse has cold feet. They are not going to put up the hard deposit. You are calling the listing agent BEFORE they get overwhelmed with backup offers, while the agent is still calm enough to take your call seriously.

33. Day 7 to 10: Contingency removal window. Ask the agent: “Has the buyer removed contingencies?” If the answer is “not yet, they’re still inspecting” — that’s a buyer who’s negotiating a price reduction or about to walk. Be ready.

34. Day 21: Is the buyer ready to close? Most pending deals close in 30 days. If you’re hearing hesitation on Day 21, you’re hearing a deal about to fall apart.

Even if THIS deal doesn’t crack, you have just done something most investors never do. You called an agent three times. You stayed in touch. You showed a follow-through. You built a relationship without asking for anything. The next time that agent has a property get shaky, your name is the first one they should think of.

The other on-market play — the aged listing

NOT EVERY DEAL IS off-market. Some of the best deals I’ve ever bought were on MLS the whole time. They aged. The seller is bleeding. The agent is about to lose the listing. The seller doesn’t want to tip their hand and ask for a price drop because they don’t want the agent to know how desperate they are.

You walk in and offer \$100,000 less. Don’t worry about pissing off the agent. Pissed-off agents don’t matter when the seller is losing equity by the day. Submit the offer. Be polite. Be firm. Ask the right questions.

That’s how we buy a lot of properties.

Situational Sellers — The Only Sellers Worth Your Time

AFTER 32 YEARS, NOT once, not even close, has anybody ever given me a house.

Everybody sells for as much as they possibly can. Including the “motivated” seller. Including the one whose grandma just died. Including the one with the brother who’s an asshole. They are still trying to get every dollar they can. The reason they’re going to sell to YOU for less than market is not because they like you. It’s because their situation is forcing it.

We are dealing with situational sellers — sellers whose situation is forcing them to take less than market.

If the situation doesn't exist, you're wasting your time.

What does a real situation look like?

- 35. The seller has a Notice of Default filed. They are weeks away from foreclosure.
- 36. The agent is double-ending the deal. The agent has incentive to find a fast buyer because they get paid twice.
- 37. This is what that agent specializes in — distressed sales, short sales, absentee owners.
- 38. The house is vacant. Vacant means somebody is paying a mortgage on a house they aren't living in. That somebody wants out.
- 39. The agent doesn't see what's coming. The seller hasn't told the agent how bad it is, because the seller knows the agent will push for a price drop or walk away from the listing.

When you spot the combination — distress signals on the house plus an agent who specializes — grab onto that agent and that property and **DO NOT LET GO**. Not until the property is closed. Not until they accept another offer. Until it is closed.

Call Day 3. Day 7. Day 21. Be the squeaky wheel. Be relentless. This is the stuff nobody tells you. They just tell you “send me the money and I'll script you up.” All the scripts are crap. The game is asking the right questions and understanding the answers.

This is a full-contact sport. Text and email won't win. Buyers who pick up the phone and build relationships will beat you 100% of the time.

The Texting Era Is Over (And It's Not Coming Back)

A QUICK NOTE FOR the reader who's thinking “sure, but I'll just blast 5,000 agents with a text and play the numbers game.”

You can't anymore. The mass-texting era is over. Not slowing down — over.

As of early 2025, every business text in the US is routed through a federal compliance layer called 10DLC. Your business EIN — the corporation behind the text — is tied to every message you send. If the recipients of your blasts report you as spam or reply STOP above 3–5% of the time, your EIN gets flagged. Not your phone. Not your platform. Your business entity. Once it's flagged, it doesn't matter what tool you use — Twilio, GoHighLevel, Dialpad, your personal phone — nothing delivers. The flag follows the EIN everywhere.

The carriers are issuing substantial fines for violations — and the dollar amounts get updated regularly, so I won't quote specific numbers that will be out of date by the time you read this. Look them up before you decide to operate on the wrong side of the rules. The "I'll just open a new EIN" trick? Carriers use pattern recognition to catch that. Evasion has its own fines. You'd be incorporating a new entity every few months. That's a treadmill, not a strategy.

The fix is the same fix this whole chapter has been pointing at: opt-in. You call an agent first. You introduce yourself. You earn the right to follow up. Once they say "yes, send me texts" — now the text is legal, welcomed, and effective.

This is an industry-wide issue. It's not just your problem. It's the new playing field.

The people who adapt to this — the people who pick up the phone — are about to have a massive competitive edge. Because most of their competition is going to keep blasting until their EIN gets buried, and then they'll quit the business blaming "the market."

The mass-text era was a window. It closed. Welcome to the relationship era — the same one this business has always rewarded!

The Wholesaler Reality — Swim With Sharks

SOME WHOLESALERS ARE LICENSED. Most are not. This is where entry-level investors who got sold on a guru's "no money down" pitch end up, because wholesale deals look like the easy button.

They're not. It's a dirty market. There is a lot of money in it. There is also a lot of pain.

As you know by now, I'm not naming names — but there are four companies in my market who are extraordinarily good at sticking it to buyers who don't know what they're doing. The pattern is always the same: a beginner buys one house from them, pays too much, the contract has terms that trap them in, the agent on the back end can't sell the deal for the magic number, everybody gets paid except the buyer, and the buyer leaves the business. They never came back, and the market lost a potential repeat buyer.

What makes a wholesaler dangerous, structurally:

40. They're often not using standard real estate contracts. Licensed agents in California operate under fiduciary duty, errors and omissions insurance, and a regulatory body that can pull their license. A wholesaler has none of that.

41. Their incentive is to close THIS deal. They are not building a long-term relationship with you. They're building one with their next buyer.
42. They will inflate ARV. They will lowball repair estimates. They will cherry-pick comps from six months ago when the market was hotter. Every number on their flyer is the most optimistic version of itself.

Is it a good business for them? Absolutely. Just understand who you're sitting across from. And don't forget to ask why — it will answer most of your questions.

Now — wholesalers are not all bad, and there ARE good deals there. Sometimes a wholesaler underprices because they don't actually know what they have. If you understand value, comps, and contracts, you can find real opportunities. But the biggest problem with most wholesalers is they waste your time before they make you any money.

Four questions for any wholesaler call. Ask them in the first 60 seconds:

- Are you direct to the seller, or are you assigning from another wholesaler? (Daisy-chained deals are dead before they start. Don't waste your time.)
- Do you have a signed contract with the seller? (No contract = no deal. They're shopping and fishing.)
- Is the property going to be vacant at close? (See the next section.)
- Where am I wiring my earnest money — your account or escrow? (If it's not in the same escrow, walk.)

The Occupant Rule — DO NOT Buy a House With Tenants/Occupants

THIS ONE IS NON-NEGOTIABLE, especially for your first deal.

Do not buy a property with an occupant. Tenant, family member, the seller themselves, doesn't matter. If somebody is occupying that house at the close of escrow, do not close.

I don't care if it's a 98-year-old grandma who's 90% packed, with the moving truck in the driveway, who swears on her grandchildren she's out in 15 days. Don't do it.

Nothing in this business is harder than evicting an elderly tenant who got told a story by a wholesaler, who is now sitting in your house, while you are making a \$6,000-a-month payment, and it takes you 12 months to get her out. There goes your profit. There goes your second deal — because you're still bleeding on this one.

You don't want to listen to me? Fine. The wholesaler will tell you "trust me." The realtor will tell you "they're going to leave, they're my friend." Buy it. Then send me an email that says: "Tony, you were right." And ask me how I knew.

I knew because I did it 10 times. I got burned most of the time. That's how I know.



THAT'S WHERE THE DEALS live. Agents who actually do investor business, the pending-and-backup play, the situational seller, the aged listing — that's the deal flow.

Wholesalers and seller-direct can pay too. Just go in with your eyes open.

The next act is what happens **AFTER** you find one. Because finding it is half the game. Closing it without choking is the other half.



CHAPTER 6



Your Best Partners

AFTER 32 YEARS, I can tell you what this business actually is.

It's not flipping houses. It's managing four relationships — well enough that the houses take care of themselves.

The four:

- 43. Your realtor partner — who brings you deals and/or lists your exits
- 44. Your contractor partner — who delivers the rehab on time and on budget
- 45. Your capital partner — who answers the phone when you need money fast
- 46. Your support team — the village that keeps the deal moving while you focus on the next one

If those four are aligned with your outcome, you can do this from your underwear. If even one of them isn't aligned, you're going to pay for it in time and cost.

That's the chapter.

The fastest way to learn: stand behind somebody who already knows

BEFORE WE GET INTO the four, one piece of advice I wish somebody had given me at 18.

If you want to learn this business, go work for an operator who already runs it well. Even if they don't pay you. Spend a year as an acquisitions assistant, a project runner, a deal sourcer — anything that puts you inside a system that already works.

The information is free. The experience is not. You'll either pay for experience by getting wrecked on your first set of deals, or you'll pay for it by working for somebody who's already been wrecked. I'd take the second one every time.

The Beginner-With-Capital Partnership (the de-risk model)

THERE'S A SECOND PATH that nobody teaches because it doesn't make a guru any money.

If you have capital but no experience, the smartest move is to partner with an operator who already has the process, the lenders, and the contractors in place. Here's how it works:

47. You bring the deal (and/or bring the capital to fund the down payment on the operator's deal).
48. They bring the experience, the lender relationships, and the contractors.
49. You open a new LLC together for the deal.
50. You leverage their high-leverage hard money line of credit — the kind that takes a new borrower 5-10 deals to qualify for. (Operators like me who get 95-100% financing terms have those relationships already. You don't.)
51. You do 4 or 5 flips together. You watch the process, the lender intros happen, the contractor introductions happen.
52. By the end of those 4-5 deals, you've got your own hard money relationships, your own contractor network, and you've made money along the way instead of losing it learning. (Be clear and disclose your intent to your partner.)

The alignment structure that keeps this fair:

53. 50/50 partnership on the deal
54. You get the first 6% ROI off the top (your preferred return for putting up the cash)
55. They get the second 6% ROI (their preferred return for putting up the operation)
56. Everything above 12% splits 50/50

Why the second 6% to them matters: it's the "back-end six." If the deal doesn't perform, THEY get hit first on their preferred return. That means they're not going to take a marginal deal just to deploy your capital. Their incentive forces them to do real deals only.

Why this is the lowest-risk way for a beginner to enter the business:

57. You're not learning to find deals AND fix houses AND manage contractors AND structure financing all at once
58. You're not paying the "tuition" that every solo flipper pays in their first 3 disasters
59. You're getting access to high-leverage credit lines you couldn't qualify for solo
60. You learn the process while making money instead of losing it

I'm not offering this partnership. Let me say that again — I'm not offering to be your partner. I'm telling you the structure exists. Find an operator in your market who already has the village in place, and propose this deal. Most established flippers will say yes to capital and/or a deal plus a willing apprentice. It costs them very little and accelerates you.

Partner 1: The Realtor

A CLOSE FAMILY MEMBER of mine does about \$1 million a year flipping in good years. The model is two sentences long:

- Find investor-friendly realtors.
- Tell them: "Bring me a deal you double-end. I'll give you the listing on the back end."

The realtor gets paid three times per deal. Two commissions when they double-end the buy (representing both the seller and the buyer), one more commission when they list the flip on the sale. Three checks per deal.

They close two properties a month. Do the math.

That's a partnership. The realtor wins when the flipper wins. They want this person to find another deal tomorrow.

Most beginners don't structure realtor relationships this way — because the realtor's incentive is to close.

Look at the math from the realtor's side:

61. You sell at \$500K → agent gets 3% = \$15,000
62. You sell at \$530K → agent gets 3% = \$15,900
63. Difference to the agent: \$900. Difference to you: \$30,000.

The realtor isn't going to push 30 more days of showings, negotiations, and buyer drama for \$900. They'll push you to take the first acceptable offer and close. They get paid. You lose your margin.

The fix: pay them on a scaled commission tied to your minimum price.

You tell them: “My math says I need \$630,000 net to seller to hit my 12% margin. You told me this sells for \$650,000. So here’s how I’ll pay you:”

Sale price	Your commission
\$630K (my floor)	1.0%
\$640K	1.5%
\$650K (agent’s magic number)	2.0%

Now watch their face. Two seconds ago they were 100% sure on \$650K. Now that hitting that number actually matters to their wallet, they’re suddenly not so sure.

That’s the alignment test. If they refuse the scale, they were never confident in their magic number. Two options at that point: walk away from the deal, or pay them a flat 1% to JUST list it on MLS and hire a separate negotiator to actually sell it. If they can’t fight for your number, don’t give them the wrong incentive just to close.

Partner 2: The Contractor

THE CONTRACTOR RELATIONSHIP IS the hardest one in this business — and the most expensive when it goes wrong. Chapter 8 has the full operational mechanics. For this chapter, just understand the alignment principle.

A contractor on a fixed bid wins the day you sign the contract. Everything after that is execution risk on YOUR margin. Their incentive ended because they get paid regardless of the outcome.

A contractor in a partnership wins when YOU win.

The structure with contractors who want to flip: they do the labor at no charge, I pay 100% of materials, we split the profit 50/50. On a typical deal, instead of them taking a labor margin and walking, they bet on the deal performing — and if it does, they make half of the profit, which will be much more than just the labor. So do I. So it’s a win-win.

That structure only works if they truly bypass the labor margin. If a contractor tells you “I’ll do it at my cost” — they mean materials at cost, labor at full price. That’s a discount, not a partnership. Walk away, or just pay them for their services and retain the entire profit.

Partner 3: The Capital Partner

THREE TYPES OF CAPITAL partner. Three different relationships:

- 64. **Hard money lender** — a loan against the collateral. They don't care about the deal beyond the collateral. Fixed cost, fixed terms. Easy to find, easy to use, easy to get into trouble. (Mechanics in Ch 7.)
- 65. **Private money** — someone you know lending you their cash. Personal. If the deal goes sideways, the relationship goes sideways. Pick carefully.
- 66. **JV partner** — brings 100% of the cash, takes a preferred return plus a share of the upside. The right structure for the operator with no capital who needs to build a track record. (Mechanics in Ch 7.)

One rule that overrides everything else: never borrow money the lender can't afford to lose. Not your aunt's retirement. Not your parents' equity line. Not the kids' college fund. Flipping is risky — even when you do it right. COVID happens. Elections happen. The city sits on permits for six months. If your lender can't survive a punch, the relationship dies the first time you take one. And you will take one.

Partner 4: The Support Team

THE REALTOR, THE CONTRACTOR, the capital — those are the headliners. Everybody knows they matter.

The support team is the part beginners try to cheap out on. Every time, it costs them more than they "saved."

Who's on it:

- 67. **Transaction coordinator** — paperwork, escrow management, deadline tracking. About \$500 per deal. Some investor-friendly agents will TC for you; most won't. Hire one either way.
- 68. **Title and escrow** — pre-negotiate the fees, get the binder, and DO NOT sign the title indemnification until one day before closing. (Full breakdown in Ch 7.)
- 69. **Insurance broker** — get the right coverage.
- 70. **Attorney** — for entity setup and any deal that touches probate, estate, or unusual title situations.
- 71. **CPA** — get one who specializes in real estate.

72. Disposition agents — these are the agents that are willing to give you ARV feedback for the occasional re-list (you must be able to trust their numbers).

The cheap trap: every dollar you “save” cutting the support team comes back at 5x or 10x as a mistake. The inexperienced TC you hire misses a deadline. The attorney you didn’t consult misses a clause. The photographer you skipped costs you 10 extra days on market. None of these are random. They’re systematic.

Pay the village. Pay them well. Pay them fast. Be clear about what you’re paying them for. Then expect their best work.

The reverse lens

MOST FLIPPERS ASK: “WHAT do I want from my partners?”

The smarter question: “What do my partners want from ME?”

73. Pay fast. Friday for the contractor. Same day for the photographer. Pay at closing for the TC. Reputation in this business is built on how quick the wire hits.

74. Communicate clearly. Scope in writing. Decisions in writing. Changes in writing. No verbal handshake “I think we agreed” — those don’t survive a stressful close.

75. Don’t waste their time. Don’t call your agent at 9pm with the same buy box question you asked yesterday. Don’t text your contractor mid-job “can we change the kitchen” — have a clear plan!

76. Refer them business. When your contractor finishes a great job, refer him to another investor. When your agent closes a deal for you, refer her a buyer. The currency in this business is reciprocity.

77. Be loyal. Once a partner has proven they’re village-material, stop shopping. Commit. The best relationships compound over years.

What this whole chapter is really saying

YOU DON’T BUILD A flipping business. You build a network of four relationships, and they build the business.

The houses come and go. The relationships are what stay. The operators who win in this market — through cycles, through interest rate shifts, through COVID, through whatever’s coming next — are the ones whose village shows up every time.

Build the village. Then let it work.

The next chapter is how you get YOURSELF ready to be the operator the village wants to work with — because the village doesn't show up unless it makes financial sense.



CHAPTER 7



Get Your Ducks in a Row

CHAPTER 5 TOLD YOU where the deals are. Chapter 6 told you who's on your team. This chapter tells you how to get **YOURSELF** ready to transact.

Because here's the truth: the deals are there. The team is findable. But if you don't have your infrastructure in place before the phone rings, you'll watch deal after deal go to someone who does.

This chapter is the operating manual. Financing, inspections, the legal traps nobody warns you about, and the honest math on what the learning curve actually costs.

Financing — Three Honest Paths

THERE ARE THREE REAL ways to fund a flip, and one fantasy way.

The fantasy: no-money-down flipping. Doesn't exist. Somebody's money is in every deal. It might not be yours, but it's somebody's. Anyone telling you otherwise is selling you a course.

The three real paths:

1. Hard money (the default for most operators)

Hard money lenders are everywhere. They want collateral, not friendship. The conversation isn't difficult — they ask about your profile, your experience, and the deal. If the deal pencils and you have skin in the game, you get funded.

Standard structure for a new borrower in this market:

Term	What to expect
Down payment	20%
Origination (points)	2 points
Interest rate	~10%
Junk fees	A few thousand at close
Term	6–12 months (always go for 12)

As you do more deals, that down payment shrinks. After 5-10 successful closes, you can negotiate to 10% down. After 20+, some lenders go up to 80% LTV. A few will go 100% to certain track-record borrowers.

Lenders worth shopping (this is not an endorsement — pull your own credit, send it to all of them, make them compete):

78. Kiavi

79. Anchor Loans

80. Genesis Capital

81. Easy Street Capital

82. RCN Capital

Some of these (Kiavi, Easy Street) actively want NEW borrowers. Others want experience. Quote multiple. Watch for prepayment penalties, payoff fees, and junk fees that exceed a few thousand.

The proof of funds (POF) letter: anybody will issue you one. They cost nothing. Get one before you make your first offer. Without it, you're not a serious buyer.

The draws: hard money doesn't give you all the cash up front. The lender holds back rehab dollars and releases them in stages as work is completed. Standard process across every lender. If you have cash to front the work and get reimbursed later, that's smoother. Most operators don't, so the draw schedule is normal life. (Make sure you understand the math in your prefunding; do not short yourself.)

The honest math: “not horribly expensive, but not cheap.” Run the actual cost on every deal before you sign. 2 points + 10% interest + junk fees can add up to 5-7% of your purchase price by the time you exit. That comes off your margin, every time.

2. Cash (when you have it)

If you have it, use it. No interest, no points, no draws, no lender controlling your timeline. You close in 5 days instead of 14. You out-compete every leveraged buyer because the deal isn't conditional on financing.

Most operators don't have it. The ones who do (the cash buyer with no urgency we named in Chapter 3) are the floor of the bidding in their neighborhoods.

3. Partnership capital — the de-risk path for the beginner

This is the one nobody teaches because it doesn't sell courses.

If you have capital but no experience, the smartest move is the partnership structure I described in Chapter 6: find an established operator, bring the deal AND the down payment, leverage THEIR existing hard money credit line, and do 4-5 deals together. By the end, you have your own lender relationships, your own contractor network, and you've made money learning instead of losing it. (Make sure your name is in the corporation, and that you're signing on the loan, so you can take this experience with you. If you can bypass signing a personal guarantee, try it — even if it costs you more.)

The alignment: 50/50 partnership, you get the first 6% ROI (your preferred return on capital), they get the second 6% (their preferred return on operations), and you split everything above 12%. Their "back-end six" forces them to bring only real deals.

This is the lowest-risk way to enter the business. It's also the path 95% of beginners skip — because nobody tells you it's possible.

Critical rule that overrides everything: it's worth repeating myself, don't borrow money the lender can't afford to lose. Not your kids' college fund. Not your parents' equity line. Not your aunt's retirement. Flipping is risky even when done right. COVID happens. Elections happen. Cities sit on your permits for six months. If your lender can't survive a punch, the relationship dies the first time you take one.

And you will take one.

Deal #1 — The Real Numbers, Beginning to End

MOST FLIPPING BOOKS TALK in theory. Here's a deal I closed in 2025 — purchase to recording, every line, every dollar. No averages. No hypotheticals. Actual numbers from my books.

The property: 4-bed, 2-bath, 1,524 sq ft cosmetic flip in Moreno Valley, California. Standard buy box. Boring deal but very profitable.

The Acquisition:

Line	Amount
Purchase price	\$410,000
Due diligence cost (my acquisition associate)	\$4,100
Insurance (binder for the rehab period)	\$1,535
Total purchase cost	\$415,635

The Hard Money Loan (Anchor Loans, 1st position):

Term	Detail
Loan amount	\$452,574 (covers purchase + rehab holdback)
Loan-to-Cost	~90%
Loan-to-ARV	75%
Interest rate	9.99%
Points	1 point (\$4,526)
Loan fees + appraisal	~\$1,000
Term	12 months (planning 90-day exit)
Monthly payment	\$3,768
Pro-rated payment	\$10,938

Cash I actually had to bring to close: \$51,737.

Total cash investment through the deal (including loan payments during rehab): \$65,866.

That's the answer to "how much money do I need to start?" — for a deal at this price point, about \$65,000 in liquid capital. Not \$25,000. Not \$100,000. Sixty-five.

The Rehab:

Standard cosmetic — no major systems work. Budget came in at \$72,213 including a small contingency. Actual cost at close was \$74,167 — a 3% overrun, which is normal life on a rehab. Full line-item breakdown is in Chapter 8 (the Moreno Valley case study). For now: ~\$74K covers labor, materials, subs (roof / landscaping / HVAC / windows / specialty flooring), city fees, and inspections.

Hold Time: 90 days from close to recording. That's the entire reason this deal worked. Slip to 180 days and the hard money interest alone eats another \$11,000 of margin.

The Exit:

Line	Amount
After-Repair Value (ARV) — comps target	\$599,000
Sale price (actual)	\$599,000
Escrow and title (seller side)	-\$3,225
Prorated property tax	-\$709
Buyer concessions (closing credits)	-\$5,000
Buyer's agent commission (2%)	-\$11,980
Misc selling costs	-\$1,945
Net to seller	~\$576,141

The P&L:

	Amount
Sale proceeds (net)	\$576,141
Acquisition cost	-\$415,635

	Amount
Hard money costs (interest, points, fees)	-\$16,828
Rehab cost (actual)	-\$74,167
Net profit	\$69,511

Return on capital: ~17.5% on the deal itself.

Annualized (IRR): ~70% — because the capital was deployed for 90 days, not 12 months.

That's the real math on a textbook cosmetic flip. \$65,866 in. \$69,511 out. 90 days.

A few things worth noticing:

83. The hard money cost (\$16,828) is real money. That's 24% of the net profit. Cash buyers don't pay that — which is why they can outbid you at the purchase. (Chapter 3.)

84. Listing agent commission (\$0) is also real money. I'm licensed, so this is real money back in my pocket. Otherwise I would have paid 1 to 2.5%.

85. The hold time was the whole game. If this rehab had run 180 days instead of 90, I'd have paid roughly \$11,000 in additional interest, my IRR would have been cut in half, and the next deal I could have done with the same capital would have been delayed by 3 months. That's why "you can't steal in slow motion."

Worst-case scenario on a deal like this:

What if the market drops 5% between close and sale? ARV becomes \$569,000 instead of \$599,000. Net profit drops to ~\$39,500. Painful, but you still walk away with money.

What if the rehab runs 10% over budget AND the market drops 5%? Net profit drops to ~\$32,000. Still positive.

What if the rehab runs 30% over AND the hold extends to 180 days AND the market drops 5%? Now you're at or near break-even — maybe a small loss. That's a deal that went wrong — not a disaster, just a hard lesson. This is why the discipline in Chapters 5-8 matters. The deal that DOESN'T blow up is the one where every input was respected.

The math works. The math only works because the process works. The process only works because the village (Ch 6), the financing (this chapter), and the contractor (Ch 8) work.

That's deal #1. Now multiply it by 24 a year. That's the business.

Inspections — Where Beginners Bleed

INSPECTIONS ARE THE CHEAPEST insurance in the business. Every smart operator orders them. Every new operator skips them and pays for the lesson.

The workflow on a fast close:

I personally walk the house first. 32 years of pattern recognition means I see things in a photo most operators miss in person. Walk every house your first 20 deals. Maybe more.

Then:

- Hire an inspector OR a contractor who is NOT the one bidding the job. Conflict of interest if the bidding contractor writes the scope. Pay them \$100/hour plus a trip fee. Couple hundred bucks total.
- Have them video-record the entire walkthrough. Every room. Every system. Every issue called out on camera.
- Run the video through the Pro-Bidder GPT (Chapter 8 has the link). The Pro-Bidder generates a scope of work tied to the inspector's video. Now your scope is data-written.

What you're looking for (the big-ticket items beginners miss):

- 86. Foundation issues.** Most 1965+ houses are slab-on-grade. Carpeting hides hairline cracks. A trained eye sees them. A beginner doesn't. If you're worried, \$400-600 for a foundation engineer report. Do not skip this cost!
- 87. HVAC** — system age, refrigerant type, ductwork condition. R-22 systems are increasingly expensive to service; R-410A is current.
- 88. Roof** — pull the attic, look for sunlight (you shouldn't see any), check the layers, ask the age.
- 89. Electrical panel** — Federal Pacific Stab-Lok and Zinsco panels are insurance-uninsurable in most markets. This will always come up in the buyer's inspection.

90. **Plumbing** — galvanized supply lines = re-plumb. Cast iron drain lines = manageable if not failing.

91. **Windows** — single-pane vs. dual-pane, frame condition, count them.

The sewer line trick — this one's saved me six figures over the years:

Anytime there's a tree in front of a house, run a sewer camera. \$400 for the inspection.

How to figure out where the line runs: look at the street. Manholes out front? Line runs to the front. No manholes? Line runs to the back through an alley or easement.

If trees are anywhere near the line — those roots are drinking from the sewer line. Guaranteed. If the line runs under the driveway and you have to break the slab to replace it, you're looking at \$20,000+. That's your entire profit on a small flip.

\$400 for the camera. \$20K saved. Best ROI in the business.

Termite — even when it's not a contingency of your offer:

California requires a termite report at sale if buyers are financing. Most purchase contracts have a termite contingency where the seller provides one. Get your own anyway. \$100 for an independent inspector. The seller's report is from somebody the seller trusts, not somebody you trust.

(The end-of-job inspection checklist — the items every contractor misses on the way out — lives in Chapter 8, where it belongs with the contractor mechanics.)

The Indemnification Trap — Read This Twice

WHEN YOU CLOSE ON a property as a buyer, the title company is going to hand you a stack of papers and ask you to sign them all very strategically and at the last minute. Buried in that stack is something called an affidavit of indemnification (or similar — the title varies by company).

In plain English: by signing it, you're agreeing to take on any lien that shows up against the property **AFTER** you close. Mechanic's liens. Unpaid contractor invoices from the seller. Unpaid HOA dues. Old tax assessments. If anything surfaces later, you eat it — not the title company.

The title company's job is to insure the title. By getting you to sign the indemnification, they're carving out their own liability and pushing it onto you. The

document is written in legal jargon so most people don't catch it. Most title reps don't fully understand it. Most realtors don't either. Almost everyone signs it.

Don't be almost everyone.

The rule: Tell your agent and the title company you will NOT sign the indemnification until one day before closing.

When closing day approaches — and the title company magically springs this on you at the last minute — drop the document into ChatGPT and ask: “Is this protecting me, or is it releasing the title company from liability that should be theirs?” The AI will tell you what your title rep won't.

The title office will fight you. They'll say “everyone signs this.” They'll get the underwriter on the phone. Don't budge. Hold the line.

When you SELL the property, the indemnification reverses — at that point you sign one (saying you've paid your contractors, your subs, your vendors). Your contractor signs the same thing about their work. That one's normal. That one you sign.

Most flippers learn this the hard way. You don't have to.

LLC, Entity Structure, and the Tax Setup

USE AI FOR THE first pass. Use a real attorney for the filing.

ChatGPT can walk you through LLC structures, basic operating agreements, and which state to file in. It's a great Round 1. Always pass the final structure past a real estate attorney before you file. What ChatGPT doesn't know is your specific tax situation, your asset-protection needs, and the local quirks of your county.

Same for tax structure. Talk to a CPA who specializes in real estate. Not your tax-prep cousin. Real estate has nuances (1031 exchanges, dealer status vs. investor status, depreciation strategies) that general CPAs miss. There are ways to be creative within the law and minimize your taxes: find somebody who knows the rules the politicians built for themselves.

The 90-Day Anti-Flipping Rule

THERE'S A FEDERAL RULE that affects FHA buyers. If you bought a property less than 90 days ago, FHA won't insure the new buyer's loan. That means your buyer pool gets restricted to conventional/cash buyers until you cross day 91.

For most flips, you'll be at 90+ days anyway because of the rehab timeline. But on fast cosmetic flips (3-week turns), this rule can bite you. Plan around it. If you're going to be ready to list at day 30, plan to actively market and price for non-FHA buyers OR hold the listing until day 91.

Drop the specific rule into ChatGPT for current details — it changes occasionally and varies by loan type.

Support Team — The Village from Day One

YOU READ CHAPTER 6. Here's the day-one operational checklist:

- 92. **Transaction Coordinator (TC)** — ~\$500 per transaction. Some agents will do it for you; most won't. Hire one regardless.
- 93. **Title and Escrow** — pre-negotiate fees, get the binder up front, hold the indemnification line until day-before-close.
- 94. **Insurance broker** — vacant property policy during rehab, swap to standard policy at sale.
- 95. **Attorney** — entity setup, plus any deal involving estate, probate, or unusual title.
- 96. **CPA** — once you do 2+ deals a year, taxes get complicated.
- 97. **Professional photographer** — non-negotiable. \$300-500 per listing. Listings with pro photos sell faster at higher prices.
- 98. **Disposition agent** — typically the same agent who brought you the deal under the back-end commission structure (Chapter 5).

The cheap trap: every dollar “saved” on the support team comes back as a multiple. The TC you skipped missed a deadline. The attorney you skipped missed a clause. The photographer you skipped cost you 10 extra days on market. Pay the village.

Software and Resources — Don't Overbuild

IF YOU'RE BUYING A property here and there, don't overbuild your stack. You don't need it.

Start with:

- 99. Google Docs / Sheets for buy box, comps tracking, contractor scopes, transaction tracking

- 100. ChatGPT for document reviews, entity drafts, contract questions (always pass legal past your attorney)
- 101. The Pro-Bidder GPT for contractor scope generation (Chapter 8 has the link)
- 102. The Exclusions document for contractor agreements (Chapter 8)

If you're running this as an actual business — multiple deals per month, employees, capital partners, a real operation — that's a different structure entirely. Full accounting, transaction management, deal flow tools, lender management. That's where the technology in Chapter 9 comes in. Don't reach for that stack until you've done at least 5 deals manually. Build the muscle first. Then build the system.

The Learning Curve — The Real Cost

YOU WILL LOSE MONEY on your first flip.

I'm not being dramatic. I'm being honest. If your first flip breaks even, you got lucky. If you make money, you got very lucky. The norm is a loss — not because you're incapable, but because there's always a variable you missed. It's what you don't know that kills you.

I've watched new flippers come up. Here's the inflection point I see most: around deal 5 to 7, you stop being dangerous to yourself. You start to see the patterns. The contractor who's about to overcharge you. The wholesaler who's daisy-chaining the assignment. The agent who isn't fighting for your number.

Before deal 5: you're paying tuition. Deals 5-15: you're competent. Deals 15+: you can start to operate at scale.

That's the average. Some people get there in 3 deals because they paid attention. Some never get there because they didn't.

The reader who CANNOT afford to learn — the person whose first flip going wrong is their last flip — should partner with an experienced operator (see Chapter 6). Don't go it alone if a \$30,000 loss ends your career. Stand behind somebody who's already paid to learn.

The cost of partnering is sharing the upside. The cost of going alone is the entire downside.

Choose your trade.

The closer

YOU'RE READY WHEN:

- 103. Your money is lined up and approved before the deal comes in
- 104. Your inspector/contractor is on speed dial
- 105. Your title and escrow team knows you
- 106. Your buy box is written down and guided by your team
- 107. You know your max offer formula cold
- 108. You know which fights to pick at the closing table (the indemnification fight, the escrow fee fight)
- 109. You have your village in place

That's ready.

Now we go to the partner who breaks more flippers than all the others combined: the contractor.



CHAPTER 8



The Secrets of Finding a Good Contractor

EVERY CONTRACTOR WILL COST you money you didn't plan to spend. With the best intentions in the world.

That's not cynicism. That's 32 years of data. Some of them cost you money because they're bad people. Most cost you money because they're decent humans who are bad business operators — they get behind, take new money to plug old holes, and your job pays for somebody else's disaster job.

Once you understand that — once you stop expecting contractors to be aligned with you by default and start engineering the alignment yourself — the contractor relationship becomes the most beautiful piece of the flip. You stop visiting houses. The work gets done. Your margin survives.

This chapter is how you engineer that.

The Two Types of Contractors (You Want the Second One)

YOU'RE DEALING WITH TWO completely different kinds of contractors in this business:

Type 1: The well-organized contractor.

110. Nice truck with a sign on the side

111. English is pretty good

112. Has an office, a secretary, accounting software, a project manager

113. Can float their own jobs

You cannot afford this contractor.

Not because they're bad — because every overhead dollar they spend is embedded in every bid they write. The office costs money. The secretary costs money. The truck wrap costs money. They have to recoup all of it, and on a \$30K rehab, they have to recoup it from you. This type is great for new construction and large jobs.

Type 2: The owner-operator.

114. Ugly truck, no signage

115. Two or three guys who run the work themselves

116. No office, no overhead

117. Show up dirty because they're actually working

That's your contractor.

The rule from the road: nice truck with a sign — they're going to eat your profit. Ugly truck and dirty hands — there you go.

One Non-Negotiable Safety Rule

TWO-STORY PROPERTIES: ALWAYS USE licensed contractors. Always. No exceptions.

It only takes one person falling off the roof — whether it's your fault or not — and your investing career is over. Licensed contractors carry workers' comp and liability insurance. Owner-operators often don't. On a two-story job, that gap is the difference between a normal flip and a lawsuit that takes your house.

My standing disclosure throughout this book: when in doubt, use licensed people. CYA. Not optional.

The Crew Structure for a Standard Cosmetic Flip

FOR A 1,500-2,000 sq ft cosmetic rehab — no major systems work — here's the team:

118. Three-man general crew — paint, drywall, flooring, finishes, doors, hardware

119. Landscaping sub — separate

120. Window sub — separate

121. Roof sub — separate

122. HVAC sub — separate

123. Pool sub — separate

Get two bids per trade. Find them by asking around at other job sites — “who’s doing your roof?” The same rule applies for subs: big truck with a logo = too expensive. Owner-operator hands-on = your guy.

How to Test a Contractor Before You Commit

DON’T TRUST THE INTERVIEW. Watch them work.

Same play as finding deals (Chapter 5): when you lose a property to another investor, drive by the renovation in progress. Walk in. “Hey, I’m a neighbor, can I look around?” Nobody kicks you out.

You’re not auditing the deal. You’re auditing the contractor. Three things you’re watching for:

- **Speed.** Are they moving or stalling? Is the place close to done in 3 weeks, or is it Day 45 with no end in sight?
- **Cleanliness.** Is the job site under control? Tools organized? Trash managed? A clean job site means a contractor with discipline.
- **Quality.** Look at what’s already finished. Match it against the price point of comps in that neighborhood. Tight finishes? Sloppy lines? Forced fits? You’re seeing your future before you hire them.

Three site visits to three in-progress jobs tells you more about a contractor than a hundred phone interviews. Watch how they actually work.

The Bidding Trap — Never Accept All-In Pricing

THIS IS THE SINGLE most important paragraph in this chapter.

Do not accept an all-in price from a contractor.

An all-in price is where they hide their margin. They walk the property, give you “\$78,000,” and you have no idea what they’re charging for the kitchen vs. the bathrooms vs. labor vs. materials. They can shift money around inside that number — overcharge in places you don’t notice, undercharge in places you do — and the bid looks competitive until you start crossing items off.

The play:

- Don't have the contractor scope the job. It's a conflict of interest. They'll write a scope that justifies their bid.
- Hire a licensed home inspector (or a different contractor who is NOT bidding the job) to walk the property. You're not buying an inspection report. You're buying a video walkthrough. They record themselves going room to room, calling out every item that needs to be addressed. Pay \$100/hour. Couple hundred bucks total.
- Run the video through the Pro-Bidder GPT I built. It's free (link in the Resources section). It generates a line-item scope of work tied directly to the inspector's video. Now your scope is data-written.
- Hand the contractor the scope and request LABOR ONLY pricing. You pay materials directly with your credit card. Home Depot has a credit account system — give them your card, the contractor goes and buys, every charge ties back to your statement. (Bonus: you earn miles.)

The contractor's face will go blank. They will tell you they can't bid that way. They will tell you nobody bids that way. They will tell you it's not industry standard.

If they can't bid that way, run. This is the test that separates contractors who want to make money WITH you from contractors who want to make money FROM you.

The Exclusions Document — Your One-Page Defense

YEARS AGO I GOT tired of fighting the same contractor battles on every job. So I built a document called the Exclusions document. It's an agreement that removes every standard contractor excuse and forces accountability up front. Full document linked in the Resources section.

The clauses that do the work:

124. **"It is what it is."** The contractor's role is not to agree with our budget. It's to provide a complete, all-inclusive bid that reflects real cost. We make the cuts to the scope BEFORE the job starts — not after.
125. **No change orders.** Anything missed in the original bid is paid materials-only. No labor, no management. (Four legitimate exceptions only: city inspector corrections, owner design changes, utility costs, weather delays.)
126. **Building to local minimum code.** The contractor bears 100% of the cost if work needs to be redone because it wasn't to code. No "I didn't know."

127. **Weekly video reporting.** Monday AM video of what's getting done this week. Friday PM video of what was completed. Sent to the project manager. No texts, no calls, no excuses.

128. **Final inspection items.** Smoke detectors, fire door, water heater straps, junction boxes, backflow valves — all the things that get missed every single time — listed up front.

Hand this document to a contractor and watch what happens. Their face goes blank. The good ones say “fair enough” and sign. The bad ones invent reasons not to. The document IS the filter.

The X-Ray Vision Lie

IF A CONTRACTOR TELLS YOU “I can't predict what's behind the walls” — run.

That's not honesty. That's an excuse to charge you change orders later.

Real contractors have X-ray vision. It's called experience. When I walk into a 1965 build and see a certain pattern, I'm 90% sure there's a plumbing problem behind that wall. Contractors with any real reps can do the same. They know the panel issues that come with certain electrical patterns. They know the framing problems that follow certain stucco bulges.

A contractor who can't anticipate problems doesn't have enough reps. Don't hire them.

The \$60,000 Story — Why You Never Front Money

GOOD FRIEND. VERY GOOD contractor. Worked for me a long time. Became my friend.

Mistake #1: I became friends with him. Don't become friends with your contractors. The relationship has to stay clean. Friendship makes you generous when you should be firm.

Because I trusted him, I started paying draws — 25% upfront to start the job, more along the way, he'd handle materials.

Then his life got complicated. IRS trouble. Personal stuff. He didn't tell me. Contractors don't tell you that stuff. This is common: you can have a great contractor who's a terrible business operator. They don't pay workers' comp. They don't track their books. They get squeezed financially. Doesn't make them bad people. Makes them risky.

So my friend takes my 25% upfront — and uses it to pay his crew on a different job that was bleeding. Then he can't pay my guys. Doesn't tell me. Takes on another job to get more upfront money to plug the first hole. That job bleeds too. The cycle compounds.

Before I knew it, \$60,000 in the hole on my project. Schedule slipping. Materials missing. I started smelling it — and once it stinks, it's already too late.

The Lesson: Every Contractor Is Behind Somewhere

ASSUME EVERY CONTRACTOR IS behind on some job, somewhere. Always. Even the good ones.

If you front them money for materials, they will use it to plug a hole on another job. Not because they're crooks. Because they're trying to keep all their plates spinning, and your money is the easiest thing to grab. The bathroom tile money for your job goes to pay the framer on the other guy's kitchen.

That's why you pay materials directly. That's why you pay labor on Friday for work completed that week. That's why draws are dead to you. Take the math out of the contractor's hands.

The Million-Dollar Story — The 24-Job Mistake

AT ONE POINT I had 24 properties going simultaneously. I needed a project manager. I hired a guy related to someone already on my team.

He cost me badly. I lost over a million dollars that year.

Here's the part that took me a long time to admit: it wasn't his fault.

I gave a guy who couldn't realistically manage more than five jobs at a time 24 jobs at a time — and then I left him alone. When the inevitable happened, I was "shocked" the project blew up on me.

He didn't blow it up. I did.

The lesson: you cannot overload a contractor or a project manager beyond their capacity. If a guy can do one job well, two jobs blows up both. If a project manager can handle five, don't hand them twenty-four. The capacity mismatch is YOUR fault, not theirs.

That's the actual job in this business. Not finding houses. Not signing contracts. Babysitting humans who are building houses. Knowing what each one can carry. Never exceeding it.

If you cut a guy on price, don't pay him enough, or overload him — he'll cut corners. They always do. Your job is to match the right contractor to the right scope, pay them fairly, never overload them, and never get personally over-friendly. That's the alignment.

Change Orders — When They're Legit, When They're Not

THE EXCLUSIONS DOCUMENT SAYS “no change orders,” but there are four legitimate exceptions:

- City inspector corrections that fall outside the scope of work
- Investor design changes — you decided to add a bathroom
- Cost of utility — true cost increases
- Weather delays — acts of God

Everything else is a contractor trying to bill you twice.

The split rule on legitimate change orders: when the change is because the contractor missed something — they didn't check the attic, didn't notice the panel was undersized, didn't see the rotted subfloor — you pay materials, they eat the labor.

When you push back with that split, change orders disappear fast. They learn quickly that “I didn't check” doesn't translate to “you'll pay me more.”

The Permit / Roll-Off / Neighbor Reality

THE CITY IS GOING to pop you for unpermitted work eventually. Maybe once in every 20 properties. That's your bad. It's a cost of doing business. Don't make it worse by ignoring it when it happens.

Two prevention tactics that save more deals than people realize:

- **Be careful with roll-offs.** A dumpster on the driveway tips off the city AND the neighbors. Both will call. Schedule deliveries and pickups tight. Don't let the roll-off sit for weeks.
- **Knock on the neighbors' doors before you start.** Introduce yourself. Get their phone numbers. Tell them: “If anything is bothering you, call me — not the

city.” Most neighbor complaints aren’t really about the work. They’re about feeling ignored. Be a good neighbor. The calls stop.

The 4-Week / \$24K Labor Model

FOR A STANDARD COSMETIC rehab — 1,500 sq ft, 3-bed/2-bath, 1965 or newer, no major electrical/plumbing/framing/HVAC/roof/pool — here’s the labor math:

- 129. Three-man crew. \$300/day each. Call it \$1,000/day.
- 130. Six days a week × 4 weeks = ~\$24,000 labor
- 131. Pay every Friday based on completed milestones for that week
- 132. Hold back \$2,000 until your third-party inspector signs off on the punch list

That’s the standard. Anything that takes longer than four weeks, you’re in too deep — either the scope is wrong or the contractor is.

The Contractor Partnership — When You Find One Worth It (that can financially carry a job)

FOR CONTRACTORS YOU TRUST after multiple jobs, there’s a better structure than the fixed-bid relationship.

The partnership:

- 133. They do the labor at no labor charge (bypassing the \$24K profit they would have charged)
- 134. You pay 100% of materials
- 135. You split the profit 50/50 on the sale
- 136. They guarantee the job is done on time

Why this works for you: instead of paying \$24K labor PLUS half the profit, the contractor’s \$24K stays in the deal. If the deal nets \$50K after labor, that’s now \$74K to split — \$37K each. You make \$37K instead of \$25K. They make \$37K instead of \$24K. Both sides win bigger.

Why it works for them: they’re betting on you. If the deal goes well, they make more. If the deal is a dog, they make less. That’s alignment.

Critical rule: the partnership only works if they're truly bypassing the labor margin. If a contractor says "I'll do it at cost" — they mean materials at cost, labor at full markup. That's a discount, not a partnership. Walk away.

The End-of-Job Inspection — The Same Things, Every Time

BEFORE YOU RELEASE THE final \$2,000, send the same inspector who scoped the job back to verify completion. Give them a punch list. Give the contractor the same list.

I promise you, the same things will be missing every single time:

- 137. Water heater pressure relief valve (always)
- 138. Open junction boxes
- 139. Fire door between garage and house
- 140. Water heater strapping
- 141. Smoke and CO detectors

I've told contractors the same things on a thousand jobs. They still miss them. That's why the third-party inspector exists — they catch it before the buyer's inspector does, and you don't write credits at closing.

Payment Schedule — Final Word

AFTER YEARS OF EXPERIMENTING and getting burned at every angle:

- 142. Pay only labor. Pay materials directly on your card.
- 143. Pay every Friday for pre-scheduled work completed that week.
- 144. Don't make them chase you. Call Thursday: "On schedule? Send pictures. Money's ready when the milestones hit."
- 145. Hold back \$2,000 until the punch list is signed by your inspector.
- 146. NEVER pay big down payments. Ever. I promise you, you will regret it.

The relationship is simple when the money is simple. The relationship breaks the moment money becomes complicated.



CASE STUDY: The Moreno Valley Flip — Real Numbers

THIS IS THE SAME flip from Chapter 7 (the P&L deal). 4-bed, 2-bath, 1,524 sq ft. Cosmetic rehab — no major systems work. The original budget was \$72,213. Actual cost at close came in at \$74,167 — a 3% overrun, which is normal life. Here’s the line-item breakdown:

Line item	Cost
General construction (labor)	\$26,844
Materials (Home Depot — includes window materials, paint, fixtures, hardware, flooring supplies, etc.)	\$20,518
Roof	\$7,800
Flooring + kitchen stone	\$7,525
Landscaping	\$3,065
HVAC	\$3,000
City fees	\$2,315
Specialty flooring	\$999
Garage motor	\$500
Sewer inspection	\$400
Final inspector	\$439
Window labor (install)	\$261
Listing photography	\$250
Staging touch	\$250
TOTAL	\$74,167

A note on how to read this: the Home Depot line (\$20,518) is where most of the consumable materials live — paint, window units, fixtures, hardware, flooring underlayment, kitchen finishes, light fixtures. The trade lines below it (roof, HVAC, windows, flooring stone) are mostly LABOR or specialty-supplier purchases. That’s why

“Window labor” is only \$261 even though new windows were installed throughout the house — the window materials themselves were purchased through Home Depot.

This is the labor-only payment structure from earlier in the chapter, in practice. The contractor and subs are paid for their labor. Materials go on the operator’s card.

The before-and-after on this property is the visual proof of the Home Depot Special principle from Chapter 4 — tastefully done, nothing exotic, sold fast. Same materials anybody can buy. Different result because the process was clean.



THE CONTRACTOR IS THE partner who breaks more flippers than any other. Get this one right and you can do this business from your underwear. Get it wrong and your margin disappears one missed item at a time.

Next chapter: the technology that makes the rest of this business scalable.



CHAPTER 9



The Technology Edge

I LOVE TECHNOLOGY. I love data even more.

Data is a puzzle. Once you understand how it all connects, you see the matrix — and the matrix turns out to be very simple: how people make money, who they make money with, and when they do it. Everything else in this business follows from those three things.

Technology that helps you see those three things is a force multiplier.

Technology that pretends to replace them is a course you should not buy.

This chapter is the difference between the two.

What Technology Actually Solves

MOST OPERATORS RUNNING THIS business in 2026 are running on a stitched-together stack: a CRM, a spreadsheet, an MLS subscription, a data tool, a project management app, a buyer-list email service, and a notebook. Maybe eight tools. None of them talk to each other well.

That works at one or two deals a year. It breaks at five. At ten, the operator is spending more time managing the process than managing deals.

What good technology does — at minimum — is consolidate. One system. One source of truth. Three things specifically:

- **Which agents are worth your time.** Most beginners call 50 agents and get 5 callbacks. The right system tells you upfront which agents do actual investor business, how they get paid, and what they specialize in — so when you make the call, you're already speaking their language.
- **How each agent makes money.** Remember the "\$1,000 story" from Chapter 3? The agent told their preferred buyer "go a thousand higher" because the agent knew my number. The reason that buyer was preferred wasn't loyalty — it was alignment. The buyer made the agent money the way the agent wanted to make money. The system lets you walk into every agent conversation already knowing which alignment opens which door.
- **Which sellers actually need to sell, and which deals are highest probability.** Not every listing is a deal. Not every wholesale flyer is real. The system filters out the noise so you spend your time on the deals where a situational seller, an aligned agent, and a fair price all show up at once. That's the only kind of deal worth chasing.

Three times the output of a stitched-together operator. Same hours. That's the multiplier.

The Car Is the Tool. The Driver Is the Magician.

AN F1 CAR IS the best driving machine on the planet. Put a guy off the street in it, he crashes on the first turn.

Technology in this business works the same way. The tool doesn't drive the deal — the operator does. The technology lets you find the right agent, run the right numbers, schedule the right follow-up. None of that matters if you don't pick up the phone, make the calls, build the relationships, and pay the contractor on Friday.

If you skip the work, no amount of software saves you. You spend \$5,000 on tools and zero on relationships and end up with a beautiful empty dashboard.

If you do the work AND use the tools, you compress what used to take 32 years into 5.

That's the deal.

The "I Built It So You Don't Have To" Argument

AFTER 32 YEARS OF running this business — and 13 years of building systems for it (since 2012, by necessity, because my spreadsheet eventually exploded) — I built a platform called FlipiQ.

I'm only going to talk about it briefly here, because if I spend a whole chapter on my own product, I become the guru I've spent the last eight chapters telling you to ignore. So:

- 147. FlipiQ does the three things I described above, in one system.
- 148. It's the platform used by operators in our network — the same operators who source the deals we send to our buyer network.
- 149. It exists because after building this manually for two decades, I knew the process well enough to encode it.

The reason you should care about this is not that I want you to subscribe. The reason you should care is: you don't have to build this yourself. Don't go buy 8 tools, hire a developer, and try to glue together your own version. We already did it. The way you tap in is by being a buyer in our network, not by trying to recreate the engine.

If you want to know more, it's in the Resources section at the back of this book. If you don't, keep reading. Nothing in the rest of the book depends on you using my software.

The thing that DOES matter — for every reader, regardless of what tools they use — is in the next section.

AI Won't Replace You. Someone Using AI Better Than You Will.

HERE IS THE MOST important paragraph in this chapter.

AI is everywhere now. Every wholesaler with a laptop is blasting agents with auto-generated messages. Every guru is selling an "AI-powered deal finder." Every newsletter is selling an "AI-powered scraper."

Software has been democratized. Speed is standard. Information is flat. Where does the advantage actually go?

It goes to the operator who understands this is still a people business.

There are two completely different ways to use AI in this business:

- 150. **The lazy way:** automate the blast. Send 5,000 texts a week. Let the bots find your deals. Let the algorithms call your agents. This is what most people are trying to do. It's also what just broke at scale — because (Chapter 5) the texting

era is dead, the agents stopped opening the emails, and the EIN flagging system is throwing operators off the rails.

151. **The relevance way:** use the tools to know more about each agent and each deal before you make contact. Show up with the agent's exact volume, transaction pattern, and double-end ratio already in your head. Bring value to the conversation. Then pick up the phone like a human being.

The lazy way is what makes AI look like a threat. The relevance way is what makes AI the unfair advantage.

AI will not replace you. Somebody using their tools better than you will. And "better" doesn't mean faster. It means every conversation counts.

What Technology Cannot Give You

TECHNOLOGY CANNOT GIVE YOU trust. Trust only comes from showing up. Calling back when you said you would. Closing when you said you would. Paying on time. Doing what you said you'd do, every time, for years.

The operator who uses the best tools and skips the work loses to the operator who uses average tools and does the work.

The operator who uses good tools AND does the work compounds faster than the market can keep up with.

That's the choice the technology gives you. It doesn't make the choice for you.

The One-Line Closer

CAN ANY REALTOR FIND you a deal? Sure.

Will they find you deals from the agents I'm in front of? Unlikely. Why? Because I focus on bringing more value to those agents than anyone else.

It's because of the system, the network, and 32 years of showing up with value instead of asking for it.

The technology is what makes that scalable. But the value is what makes it work.

Both. Always both.



CHAPTER 10



Learn or Earn

THE FIRST FLIP TEACHES you how much you don't know.

That's it. That's the whole lesson of deal #1. You go in thinking you've watched enough YouTube to figure it out. You come out realizing there were thirty things you didn't even know to ask about — and three of them cost you real money.

By deal 100, the same business looks completely different. You walk into a property and you already know what's wrong with it. You see the contractor's face and you know whether he's going to finish or not. You pick up the phone and the lender already has your file open. Nothing surprises you anymore.

That smoothness IS experience. It's not a personality trait. It's not a gift. It's the absence of preventable surprise — and the only way to get it is to keep going until everything that could surprise you already has.

Every Deal Teaches You Something

MOST PEOPLE WHO QUIT this business quit because their first deal taught them something painful and they took it personally. They assume the lesson means “you can't do this.”

The lesson is never “you can't do this.” The lesson is always the specific thing that just bit you.

The contractor who walked off. The wholesaler who lied about the ARV. The agent who slow-played your offer. The buyer who failed inspection. The lender who pulled out three days before close. Each one is a discrete lesson with a discrete fix. None of them

mean you're not cut out for this. They all mean you didn't yet know to defend against THAT thing.

By the time you've defended against enough of them, the business starts to flow.

The \$86,000 vs \$72,000 Story

A CLOSE FRIEND OF mine had been wholesaling for a long time. Smart guy. Wanted to start flipping. I gave him a contractor reference and a bid for \$86,000.

He found another contractor who'd do the same job for \$72,000. Saved \$14,000 on paper. He took the cheaper bid.

I told him \$86K was the right number. Not because my guy was better — because the job actually costs \$86K. Labor takes what labor takes. Materials cost what materials cost. There's no magic \$14,000 sitting in a fair bid that a smart shopper can squeeze out. The only way to come in at \$72K is to either lie about what gets done, or walk off when the math catches up.

The \$72K contractor walked off. Left a half-done job that the next crew had to demo before they could rebuild.

Final cost: \$106,000. Twenty grand MORE than the bid he turned down. Plus four months of additional carrying costs. Plus the opportunity cost of the next deal he didn't do because his capital was locked.

That \$14,000 "savings" cost him so much more, between hard money interest, additional contractor cost, lost selling season, and the second deal he couldn't take. A massive loss on the so-called savings.

The cheap bid is never cheap.

Mistakes That Compound vs. One-Time Mistakes

SOME MISTAKES ARE ONE-TIME. You bleed once, you write a check, you move on. "Don't buy a house with an occupant" — okay, learned that one, never doing it again.

Other mistakes compound. You make them once, they cost you. You make them twice, they cost you more. You make them three times, you're out of the business. The classic compounding mistakes:

152. **Hiring the cheapest bid.** It's never cheap. Pay the fair price. (See \$86K story above.)

- 153. **Stepping out of your buy box.** Trophy properties. Out-of-area flips. ADUs and additions. Every time you reach for the home run, the home run reaches back.
- 154. **Fronting contractors money for materials.** They will use it to plug holes on other jobs. Always.
- 155. **Skipping the sewer camera on a property with trees.** \$400 saved, \$20K paid.

If you make any of these mistakes twice, you're not learning — you're just paying for the same lesson over and over. After the second time, you have to ask yourself if you actually want to be in this business.

"I Knew Better And Did It Anyway"

HERE'S THE LESSON THAT took me the longest to learn: the most expensive mistakes aren't the ones you make when you don't know better. They're the ones you make when you DID know better and did it anyway.

The Pasadena trophy property in 2020 — I knew it was outside my buy box. I bought it anyway because my ego told me I could pull it off. Lost \$760,000.

The 24-job year — I knew the project manager couldn't handle the scope. I gave him the jobs anyway because I was busy and didn't want to slow down. Lost over a million.

I'm 32 years in. I've flipped 1,132 properties. I STILL lose money when I step outside my buy box. If I do, what makes you think you won't?

The discipline isn't about being smarter than the dabblers. The discipline is about being smarter than YOURSELF on the day you feel invincible.

How Long Until You "Get It"

THERE ARE TWO MILESTONES worth knowing.

Milestone 1: ~5-7 deals. This is when you stop being dangerous to yourself. You stop bleeding from rookie mistakes. You can spot the obvious traps. You're still going to make mistakes — they're just not catastrophic anymore.

Milestone 2: ~20 deals (if you stay disciplined). This is when you actually get it down. You stay in your buy box. You see patterns before they happen. Houses start flowing instead of fighting you. The smoothness arrives.

The catch on Milestone 2: it only happens IF you stay disciplined. If you do 10 deals and decide you've got it — and then start chasing ADUs and out-of-area trophies and “creative” deal structures — you're going to spend the next 100 deals coming back to the simple process you abandoned. Ask me how I know.

Three faster paths to Milestone 2:

- Go work for an operator who already runs it well (Ch 6)
- Partner with an experienced operator (the structure in Ch 6)
- Read this book and follow the process

Slowest path: my path. Beat your head against the wall. Pay for every lesson personally. I don't recommend it. The book exists so you don't have to.

The Reader Who Lost on Deal One

IF YOU'RE READING THIS on the other side of a bad first flip — you didn't fail. You graduated from the “I don't know what I don't know” phase. That tuition was the price of entry.

The question is what you do with it.

The people who quit after deal one usually quit because they took the loss personally. They felt stupid. They felt embarrassed. They believed the lesson meant they weren't cut out for this.

The people who become operators take the loss specifically. They isolate exactly what went wrong. They build a process so that exact thing can never happen to them again. Then they get back in.

The dividing line between a dabbler and an operator isn't talent. It's whether you take losses personally or specifically.

Time Is a Silent Killer

NOW THE SECOND HALF of the chapter, because the learning curve and the cost of time are the same conversation.

Most beginners think the cost of holding a property too long is the carrying cost — the lender payment, the insurance, the taxes, the utilities. Those are expensive, but they're not the biggest killer.

The actual killer is opportunity cost.

Run the math on the same dollar of capital deployed two different ways:

Strategy	Return per deal	Cycle time	Deals per year	Annual return on capital
90-day flip at 12%	12%	90 days	4	48%
180-day flip at 12%	12%	180 days	2	24%

Same return per deal. Half the velocity. Half the annual return on capital.

Now flip it the other way. Say the 180-day flip was SUPPOSED to be a 90-day flip. The deal didn't change. The contractor was late. The listing sat. Your annual return just got cut in half — for doing the exact same deal.

Plus the additional carrying costs (more interest, more insurance, more taxes, more utilities).

Plus the next deal you couldn't take because your capital was locked.

That's why every "cheap contractor" is actually expensive. Saves you \$5,000 on the bid. Costs you twice as long. Cuts your annual return from 48% to 24%. Adds another \$15,000 in carrying costs. Costs you the next deal.

The cheap bid loses you 30 grand in the back end every time. The fair bid keeps you on schedule, in business, and in capital for the next one.

It's all math at the end of the day. The operators who win are the ones who run the FULL math — purchase + rehab + carrying + opportunity — not the partial ROI math.

The Closer

YOU CAN CHANGE IT from "learn OR earn" to "learn AND earn" — but only one way.

You partner with people who already understand the business. You pay for their experience by sharing your profit. You don't pay through mistakes. You don't pay through extra work. You don't pay through agony.

I've had many sleepless nights. They're not fun. I wouldn't wish them on anybody.

After many years, I can tell you the most valuable thing I have isn't the fancy red cars I bought or the Sprinter with the full-time driver. Those were ego. They were cool — I won't lie. But what I actually carry now, after all of it, is peace in my heart.

That comes from years of paying for lessons, understanding the gifts God puts in front of us, and figuring out what actually matters at the end of the day. Not the trophy. Not the look-at-me deal. The paycheck. The relationships. The next morning where nothing's on fire.

My flips are boring. They make money.

That's the entire point.

The next chapter is about what it looks like when the boring flips finally start running themselves.



CHAPTER 11



Understanding the Game

IF YOU'VE MADE IT this far, you've earned the payoff chapter.

Everything before this has been the how. This chapter is the what for. What does it actually look like when the whole system finally works? What's the operator life — not the dream version, the real one? And what does the math actually pencil out to?

Here it is.

The 5-Year Blueprint to a Million Dollars a Year

IF YOU ASK ME how somebody gets to a million dollars a year flipping houses — starting from zero, no rich uncle, no family money, no shortcut — here's the blueprint. It's this whole book in five steps:

- **Year 1: Build agent relationships.** Real relationships. 10 calls a day. The Zillow Pro filter. The team lead. The coffee. The follow-up every two weeks. Build a network of 100 investor-friendly agents who actually know your name and your buy box.
- **Years 1-2: Partner with an established operator or contractor on your first deals.** Bring the capital, learn the system. 50/50 split, first 6% to you, second 6% to them, share above. (Ch 6.)
- **Year 2: Wholesale a few.** Learn the dispo side. Build your buyer list.

- **Years 2-3: Keep the ones in your buy box and start flipping for yourself.** Boring 3-bed, 2-bath cosmetic flips. Home Depot Specials. \$400K-\$500K purchase price band. \$40K margin each.
- **Years 3-5: Two of those a month.** Steady. Disciplined.

Two flips a month $\times$ \$40,000 margin $\times$ 12 months = roughly \$1,000,000 a year.

It's not complicated. The math is on a napkin.

It's just discipline.

The Scale Trap

HERE'S WHERE MOST OPERATORS blow themselves up.

You hit a rhythm at 2 deals a month. The cash is flowing. The phone is ringing. You feel good. And then your ego whispers: "If I can do 2, I can do 10. Let me build a team. Office. Acquisitions guys. Project managers. Maybe an iBuyer division."

Don't.

You make more money flipping 2 houses a month from your kitchen table than 10 a month with payroll, partners, and headaches. That's the truth nobody in this business says out loud — because the people teaching you to scale are usually selling you a course about how to scale.

The 2-a-month operator nets ~\$80K/month, works ~10 hours/week, has time for their family, and sleeps fine. The 10-a-month operator nets maybe \$150K/month (after staff, payroll, lease, software, insurance, payouts), works 70 hours/week, fights fires constantly, and sleeps badly.

Which one would you rather be?

If the answer is the second one, fine — but go in with eyes open. Most people who scale do it because they confuse motion with progress, not because they did the math on whether the extra hassle was worth it.

The Right Way to Scale (If You Have To)

THERE IS A SCALE move that works: same playbook, higher price point.

Instead of \$500K houses with \$40K margins, you flip \$1M houses in Orange County with \$80K margins. Same simple cosmetic scope. Same 3-4 week timeline. Same boring playbook. Same 2 deals a month. Just bigger checks.

That math is $\$80K \times 2 \times 12 = \$1.92M$ a year — basically double — with very little additional operational complexity.

But the catch is real. Here's the carrying cost math when you operate at the \$1M price point:

156. 2 in purchase + 2 in construction + 2 in escrow = 6-8 properties in pipeline at all times

157. Carrying cost per property: ~\$6,000/month (interest, taxes, insurance, utilities)

158. 8 properties $\times$ \$6,000/month = \$48,000/month in carrying costs

Now what happens if the market shifts? Properties take 4 extra months to sell. Carrying costs you didn't budget for: $\$48K \times 4 = \$192,000$ burned before you sell a single one.

That's when scale eats you. You're not stretched on the way up — you're stretched on the way down, when the market turns and you can't get out fast enough.

I've been there. It's ugly. It's why I lost millions in 2008 and 2020 (the Pasadena trophy), and 2024 (post-election permit hell). Every one of those losses came from stretching at the wrong moment.

What I Honestly Recommend at 50 Years Old

I WOULD NOT RUN 8 properties at the \$1M price point today. At 25, sure. At 30, I did exactly that. At 50, my time is way more valuable than money.

Pick the level of operation that matches the life you actually want — not the one your ego wants. Some operators run 2 deals a month for 30 years and quietly retire with \$20M and a marriage that survived. Others scale to 50 deals a month, hit it big for 3 years, and lose it all in a downturn.

The boring operator wins on the long arc. Almost every time.

The Game vs. The Deal

THIS IS THE MINDSET shift that separates dabblers from operators.

The dabbler wakes up trying to find a deal. They scroll Zillow. They send wholesaler emails. They chase the property.

The operator wakes up cultivating the relationships that bring deals. They call agents. They check in on pending properties. They buy coffee. They drive neighborhoods.

The dabbler is hunting. The operator is farming.

Once you understand the game, the individual deal stops being relevant. It's just one piece on a board that keeps producing. If THIS deal doesn't work, the next one will — because the system is running, the relationships are warm, and the deals keep arriving.

The dabbler's mindset: "I need to buy this house."

The operator's mindset: "This house needs to make me money — and if it doesn't, the next one will."

Different operating system entirely.

The \$5K Story

HERE'S HOW IT LOOKS in practice.

Recently I was negotiating a million-dollar deal. We got down to \$5,000 apart.

A dabbler in that position would have paid the \$5K. "It's only five grand on a million-dollar deal — what's the big deal?" Big deal: that \$5K would push the math just outside my buy box. So I held the line.

The agent pushed. I said no. We held our price.

Three weeks later the agent came back and accepted my number. They didn't have another buyer willing to pay more, and they sat at the market overpriced by \$50K — it was not going to sell.

The discipline of saying no on a \$5K gap, on a \$1M deal, in the middle of a negotiation, only exists because I have 10 other deals queued up. The agent knew I had options. I knew the next deal was already coming. The patience came from the network and the process.

A beginner without the network would've paid the \$5K because they were afraid of losing the only deal they could see. The pro has the next deal in their peripheral vision the whole time.

That's what farming does that hunting can't.

"A Million Dollars From Your Underwear" — What Monday Looks Like

THE MATH IS REAL. The blueprint is simple. The execution is unsexy.

If you started Monday morning, this is what the operator life actually looks like, week one:

- 159. Zillow Pro filter. Investor-friendly agents in your target zip codes.
- 160. Open each profile. Find the team lead. Call them.
- 161. Ask the right questions (Ch 5). Get face time.
- 162. Drive properties. Walk neighborhoods. Build geographic knowledge.
- 163. When you talk to an agent: “What kind of deals are you doing?” “Mind if I check out the last one you sold to an investor — see what they paid, see how it was fixed?” Public record. They’ll share.
- 164. PropStream or PropertyRadar (~\$100/month). Get notified the second a deal closes in your target zip codes.
- 165. Drop this book into ChatGPT. Ask it: “Here’s my plan, here’s where I am, what’s missing?” Use it as your free coach.

That’s the operator routine. Boring on paper. Builds a million-dollar business in 5 years if you actually do the work.

The Catch

LET ME BE HONEST about whether the million-dollar math is achievable for you.

Yes — under conditions:

- 166. You stay in your buy box for 5 years without ego deviation
- 167. You build real relationships (not text/email blasts)
- 168. You partner with an experienced operator and/or contractor for your first 5-10 deals
- 169. You keep your scope simple — Home Depot Specials, 3-4 week turns
- 170. You don’t try to scale too early
- 171. You can survive your first 1-3 deals breaking even or losing a little (because most beginners do)

No — if any of these are true:

- 172. You think you’re going to make \$1M in year 1 (you won’t)
- 173. You can’t afford to lose money on your first deal (find a partner instead)

174. You're going to chase ADUs, out-of-area trophies, or "creative" deal structures (you're going to lose)

175. You think this book replaces 5 years of work (it doesn't — it just makes the 5 years more efficient)

This is not a get-rich-quick book. It's a get-rich-eventually-if-you-do-the-work book. Most readers will quit before year 3. The ones who don't will quietly hit the million-dollar number around year 5 and wonder why nobody else did.

The ones who don't quit are the operators. The ones who do are the people who'll buy the next guru's course in 18 months hoping for a different answer. There is no magic!

The Closer

MOST FLIPPERS FIGHT ONE deal at a time.

The operator builds a system that produces deals.

Most flippers wonder where their next opportunity is coming from.

The operator has the next 5 in the pipeline.

Most flippers are hunting.

The operator is farming.

That's the entire game. It's not complicated. It's just rare — because almost nobody is willing to do the boring work long enough for the boring math to compound.

The next chapter is about the players you're going to meet on the field. Some are partners. Some are pretenders. Knowing the difference is the last piece.



CHAPTER 12



Alignment Is Everything

INTENSITY IS NOT INTEGRITY.

That's the line I carry with me before every major decision. I say it out loud. I say it to my team. I say it to myself when something is pulling at me hard and I can't tell whether the pull is purpose or panic.

If the thing I'm chasing keeps pulling me away from my family, my mission, and the truth I already know — it isn't a calling. It's my ego! Alignment begins when I stop mistaking relief for calling.

This is the closing chapter of the book — and the most important one — because everything in the previous eleven chapters is useless if you build it on the wrong “why.”

Why Are You Doing This?

A LOT OF PEOPLE get into flipping without asking themselves the one question that matters: why?

- 176. Are you here to make a lot of money and buy fancy cars?
- 177. Are you here to build generational wealth in real estate?
- 178. Are you here to escape a job you hate?
- 179. Are you here for ego — to prove something to someone who probably isn't watching?

There's no wrong answer to that question. There's just one trap: lying to yourself about it.

I'll go first. I got into this business for the wrong reasons. It was ego. Every deal was a chance to prove I was the man. Bigger flips. Flashier projects. More units. A bigger team. A Sprinter with a full-time driver. The Ferrari deposit before the 2008 crash. Trophies, trophies, trophies.

My ego drove me to do more. And more. And more. Until the music stopped — once in 2008 at the gas station crying and asking for \$100 from my mom for gas, once in 2020 when COVID took \$1.76 million across two trophy properties, once last year when the City of LA cost me a quarter million for the privilege of asking them to acknowledge a bathroom that had existed for 50 years.

Each one of those was the universe trying to teach me the same lesson. Intensity is not integrity. It took me decades to start listening.

The LA Permit Story — At 32 Years In, I'm Still Learning

A RECENT EXAMPLE. A property in Los Angeles. I went to the city, pulled the records, confirmed there was a permitted bathroom from 1970. The tax assessor's records referenced the permit by number. Documentation was there. (Just because the tax records say it, that doesn't mean it's permitted.)

The City of LA said they "lost the permit." Demanded I permit the bathroom from scratch — a bathroom that had existed for 50 years. I went in with the documentation. Assumed common sense would prevail.

It didn't. LA's operating model is "we're not happy until you're not happy." Same with Pasadena. Same with Culver City. Some cities run on bureaucratic abuse as a feature, not a bug. I knew that going in. I bought the property anyway.

The fight took a year. I hired a consultant who specialized in permit processing — he took \$10,000 and did effectively nothing. Two loan extensions. Carrying costs ballooned. Net loss: over \$250,000. All because I assumed a city that has never operated with common sense would suddenly start.

That deal was outside my buy box. I knew it was outside my buy box. I bought it anyway. At 32 years in. 1,132 flips deep. I still occasionally step outside the box and the lesson still costs me real money.

If I do — what makes you think you won't?

The discipline this chapter is about isn't a personality trait. It's a daily practice. It doesn't get easier. It gets clearer. You stop being surprised when ego whispers "go big" — and you start hearing the whisper as the warning it is.

Bottomless Buckets

I'VE BEEN BLESSED BEYOND what I deserve.

I've traveled the world. Most of Europe. The major travel destinations. I've eaten the best food. I've driven the best cars. I had a Sprinter van with a full-time driver. I had the fancy red car. I've lived in beautiful houses, owned properties by the beach, sat in front of cameras for shows I turned down. I've had every visible trophy this business hands out.

None of it is worth anything.

I don't mean that as humility-flex. I mean it as math. Those trophies are bottomless buckets — pour your life into them and they never fill. The car that thrilled me at 25 became ordinary at 30. The house that felt like winning at 35 became "the house" by 40. Every trophy gets recalibrated to baseline within a year. The next trophy has to be bigger to feel like anything.

That's not happiness. That's a treadmill that ends when you fall off.

What **ISN'T** a bottomless bucket?

180. **Peace.** The morning when nothing is on fire.

181. **Alignment.** The day when the work you're doing is for the reasons you actually care about.

182. **Value created for other people.** Helping somebody not lose money on their first flip.

183. **Giving back.** Whatever that means to you.

These **FILL UP**. There's no recalibration. You give to your family and the bucket gets fuller. You help somebody figure out what **NOT** to do and the bucket gets fuller. You sleep through the night and the bucket gets fuller.

The trophies promise satisfaction and deliver hunger. The non-trophies promise nothing and quietly deliver peace.

I wish somebody had told me that at 25. I wouldn't have listened — but I wish somebody had said it.

The Win That Isn't a Win

THERE'S A KIND OF deal that makes money on paper and costs you something more important off paper.

I've had years where I made millions and lost things I can't measure. Sleep. Time with my kids. The peace of waking up without a fire to put out. The version of me that my family recognized.

That's the win that isn't a win. The deal closed. The wire hit. The number was real. But the cost was somewhere else, off the spreadsheet, in places nobody measures because nobody knows how.

The operators I respect most at 32 years in — the ones doing 2-3 deals a month for decades — all have something in common that has nothing to do with deal volume. They protected the off-spreadsheet stuff. Their marriages survived. Their kids know them. They sleep. They have time. They have peace.

The operators who burned out — the ones I watched go bankrupt, blow up their marriages, lose their health, end up bitter at the business — were all chasing the same thing. They thought the next big deal would fix what was misaligned in their life. The deals were trying to do a job the deals could never do.

That's the trap.

The "No" That Comes From Alignment

THE DISCIPLINE OF SAYING "no" to a deal isn't just about math. It's about alignment.

I walked away from a deal earlier this year that the math worked on. The numbers were fine. The market was fine. The agent was fine. But something in my gut said no — and I've learned at 50 to listen to that gut, because it's been right more often than my spreadsheets.

What was the signal? The deal would have pulled me away from things that matter for three months. The dollars at the end didn't justify the months at the start. So I walked.

A 25-year-old me would have called that "leaving money on the table." A 50-year-old me calls it leaving a life on the table — and the trade isn't close.

Alignment is the answer to a question most operators never bother asking: what am I **OPTIMIZING** for? If you're optimizing for money, every deal looks attractive. If you're

optimizing for the life you actually want, most deals fail the test and the few that pass are the ones you should be in.

Why I Love This Business

I WANT TO SAY this clearly, because I've spent eleven chapters telling you what's hard about flipping. So you know:

I love this business. I've never once thought about walking away from it.

The pain has been situations I got myself into. The business itself, I've always liked. There are deals I shouldn't have done — but I've never regretted **DOING** what I've done. I've never regretted the career.

The losses didn't break me. They taught me. The lessons aren't a reason to leave. They're a reason to get smarter and keep going.

There is a LOT of money in this business — and a lot of meaning, if you set it up right. The operators who set it up wrong burn out. The ones who set it up right run it for 30, 40, 50 years and quietly retire with peace, paid kids' college funds, and stories worth telling.

That's available to you. The book you just read is one map to get there. It isn't the only map. It's just mine.

What I'd Tell Young Tony at 25

I'VE BEEN ASKED THIS a lot. Here's the honest answer: at 25 you have to make most of your mistakes. You can't skip them. The mistakes are how you become someone worth listening to at 50.

But if I could whisper one paragraph to him on the way out the door: Go work for somebody who really gets it before you go solo. Don't chase deal count — chase margin. Operate from efficiency, not from volume; bigger is rarely better. Buy and hold some of what you flip — I sold properties I should have kept that would have made me 10x what flipping them paid. And really, really enjoy life. Travel. Eat well. Spend time with the people who matter. The money is the means, not the end.

I wouldn't trade the journey. I'd shorten the painful parts if I could.

Find Good People. Pray.

ONE MORE THING BEFORE the last word.

I've spent years working through well-known personal coaching programs — the kind that go deep on the WHY of things rather than the HOW. Intensive multi-day workshops focused on personal breakthroughs, identifying the beliefs and patterns that drive behavior, and finding what you actually want out of life vs. what your ego is chasing. I've read the serious purpose-and-meaning books too. All of it.

Here's what they all came down to, when I distilled them: you find your purpose by serving. By putting other people's interest before your own. The moment that happens, what the purpose IS stops mattering — and HOW you get there starts to matter instead.

Same idea said a million different ways: "It's not the destination, it's the journey." In this business, the journey is the boring work. The phone calls. The agent relationships. The contractor babysitting. The discipline that compounds when nobody's looking.

Find good people. Pray. Ask God for guidance. Everything has a reason, a right time, a right place. The deals come when you're ready. They show up when the relationships are real. They close when the work is done.

The Last Word

ALIGNMENT IS NOT BALANCE. Balance is even — alignment is fitted. Things either fit together or they don't.

A career fits a life when the work you do supports the person you're becoming and the people you love. When that's true, the work IS the life. There's no separation. There's no "work-life balance" because the work is part of the life and the life is what gives the work meaning.

When alignment breaks, no amount of money fixes it. No deal. No trophy. No new car. No new house. The misalignment compounds until the music stops — usually in some form of disaster the universe finally engineered to get your attention.

Keep the trophy. Send me the paycheck. Build the boring business. Run the disciplined plays. Stay in your box. Build relationships that outlast deals. Pay your contractors on time. Don't borrow from people who can't afford to lose it. Walk away from the deals that don't fit your life — and the ones that DO fit will compound for thirty years.

That's the whole book.

One last thing: when you make your first million dollars, call me and buy me a beer.
That would be pretty cool.

Now go build meaningful relationships.

— Tony





How I Got Here

The Long Version

I WAS BORN IN Guadalajara, Mexico.

My father had his own airplane. Every year, my family would fly out to Los Angeles in his plane to take us to Disneyland. That was childhood. Sun, family, the kind of childhood you assume is going to keep being your life.

My dad passed away when I was young. The plane went with him. The Disneyland trips stopped.

A few years later — I was 11 — my mother, my family and I flew to the United States. Not in our plane. We stayed with my aunt. My mother met a wonderful man named John, who took us in as family. He became my stepfather and the man who raised me. We settled in Southern California, in the working-class corner of the Inland Empire where the trucks have toolboxes in the beds, and you grow up understanding that nothing gets handed to you.

That's home. That's where this whole story begins.

My Mother Was in the Business

MY MOTHER WAS A successful real estate agent. While I was figuring out high school, she was figuring out how to support our family one transaction at a time. She showed me what work looked like. She showed me how relationships actually worked in this business — the calls, the follow-ups, the trust built one deal at a time.

When I was 18 I got my real estate license. She told me: “Go learn the ropes. Learn the contracts. Go work for a franchise.”

I went to Century 21.

Dale Loveland — My First Mentor

THE OFFICE MANAGER AT Century 21 was a guy named Dale Loveland. Dale took me under his wing immediately. He taught me how to sell properties. He taught me how to read a contract. He taught me how to read people. He also taught me how to smoke cigarettes — which is a different kind of mentorship.

Dale became more than a manager. He became a mentor and eventually a business partner. When he stepped back from his REO accounts — the bank-owned foreclosures that move through the system after a borrower defaults — he handed some of them to me. I was very young and suddenly had institutional relationships most agents twice my age would have killed for.

That's how I started. My mother's hustle showed me the craft. Dale's REO accounts taught me the scale. A franchise broker's contracts taught me the paperwork.

My first flip was in Fontana — a neighborhood the locals lovingly call “Funtucky” because it's got that Kentucky-style, working-class, take-no-prisoners energy. Trucks. Tools. Dogs in the yard. Real people. I came back to that town to flip dozens of times over the years because I knew the market.

By 21, I was running a real business. By 25, I was running a big one.

The Phone Call That Changed Everything

IT WAS THE FIRST Monday of March 2007. I was in my early 30s and I was building close to 100 new homes all at the same time.

My lender called. I'd had a pipeline of 80+ buyers, all my available inventory in escrow — most of them on stated-income programs (the kind where you tell the lender what you make and they accept it without verification). It was the standard structure that drove the entire subprime market.

“Tony, every stated program is gone. None of your buyers qualify anymore.”

I told him: “Just call the other 80 people in line.”

He paused. “You don't understand, Tony. It's done.”

I didn't believe him. None of us did. We thought it was a hiccup. A correction. The market would shake itself out and we'd be back to normal in 60 days.

It wasn't a hiccup. It was the start of the worst financial crisis since the Great Depression.

I spent the next year trying to keep the company alive. Met payroll out of personal savings. Kept staff on. Made every payment I could. In total, I burned through about \$1 million of my own money trying to keep things together.

I should have cut the cord earlier. I held on too long because I felt responsible for the people I employed. By the time I finally accepted what had happened, I was wiped out.

That's the gas station season I don't want to relive. The lowest point of my life.

The Comeback Through NSP

WHEN THE DUST STARTED settling, the lenders I'd worked with — including the ones I'd helped finish projects on the way down — recognized that I'd done right by them through the crash. They gave me new lines of credit to start flipping again.

The federal government had launched the Neighborhood Stabilization Program (NSP) to help acquire and rehab foreclosed properties in hard-hit communities. With the lender lines and the NSP framework, I was able to get back in the business. Slowly at first. Then steadier. Then at scale.

By the early 2010s, I'd built deep institutional relationships — including a \$28 million line of credit with Anchor Loans. That's not a number that gets handed to operators casually. It came from a decade of doing what I said I'd do, paying on time, and treating institutional relationships the way I treat agent relationships: as long-term assets, not short-term transactions.

The Walkaway

THE APEX OF THAT period looked like winning. I had the lines. I had the team. I had the scale. A full-time driver. The trophies were everywhere. I was the man!

And then one day I looked around and saw something that broke me.

I had a lot of people getting paid who didn't give a crap about anything except the paycheck on Friday. I didn't have real systems. I didn't have processes that survived without me. My vision wasn't being translated. People were taking kickbacks. The operation was bleeding from the inside while looking like success from the outside.

I was killing myself for nothing.

That was the walkaway moment. Not a dramatic exit. A quiet recognition that what I'd built wasn't what I wanted. I dismantled it. I stopped chasing scale. I stopped

collecting trophies. I started building something different — built on alignment, systems, and the people who actually showed up for the right reasons.

Where I Am Now

I LIVE A MUCH simpler life now.

I'm a father of three beautiful daughters.

I'm married to a wonderful, supportive woman who's been with me through every version of this business.

I live next door to my best friend and my sister. The people who matter, close enough to share dinner.

I'm super, super blessed.

Today I'm 32 years in, with about 1,132 flips behind me. The pace is steady. The team is small. The properties are boring. The margin is real. The phone rings with the deals I actually want.

I've built FlipiQ — the operating system that runs my operators. I co-created iBuyer Connect with Cloud CMA, which gives agents cash offers. The platforms are the result of 32 years of figuring out what actually works — bottled so other people don't have to learn it the way I did.

The work is simpler now. The wins are quieter. The peace is louder.

That's the trade. I'd take it every time.

Why I Wrote This Book

I'VE THOUGHT ABOUT WRITING a book for years. I'd start it, lose interest, push it off, restart. Talking has always been easier for me than writing.

What finally got me to finish it: I'm not doing this to sell a book. I'm doing this to help people enter this business with their eyes open — to understand the HOW and the WHY before they pay the way I paid for it.

The flipping world is full of gurus selling magic. Magic doesn't exist in this business. There's just discipline, relationships, process, and time. If reading what I've written saves one operator from a 2008-style wipeout, or steers one beginner away from a guru's \$5,000 mastermind, or helps one family member protect their savings on their first deal — the book did its job.

That's the why.

The rest is just words on paper.

Thank you for reading.

— Tony Diaz





Websites & Resources

THE TOOLS, LINKS, AND resources referenced throughout this book. Free unless noted otherwise.

Tony's Platforms

- 184. **FlipiQ** — The operating system used by my operators to source, underwrite, and execute deals at scale. The platform that runs everything described in Chapter 9. <https://flipiq.com>
- 185. **USale** — Free buyer marketplace. If you're a buyer in our network, this is where the deals flow. <https://usale.com>
- 186. **iBuyer Connect with Cloud CMA** — The agent platform I co-created that delivers cash offers to homeowners through their listing agents. <https://cloudagentsuite.com/ibuyerconnect>

Free Tools Built for Operators

- 187. **Pro-Bidder GPT** — Generates a line-item scope of work from an inspector's video walkthrough. Removes the contractor's ability to write their own bid. Free to use. Referenced throughout Chapter 8. <https://chatgpt.com/g/g-68d718ee3b608191acd5893b0c7bebc7-pro-bidder>
- 188. **Exclusions Document** — The one-page contractor agreement that removes every standard excuse and forces accountability up front. Includes the four legitimate change-order exceptions, the weekly video reporting requirement, the materials-only-they-eat-the-labor rule, and the final-inspection checklist. Make a copy for your own use. <https://docs.google.com/document/d/1ZkAoS5YXNP4z53D1v7PkeO5fq8jqdIUigVAxXMOl17Y/edit>

188.5 ChatGPT - Ask Tony any question

<https://chatgpt.com/g/g-6a1e3f7336e08191b4dcafffd2364358-you-can-t-steal-in-slow-motion>

Hard Money Lenders Worth Calling

NOT ENDORSEMENTS — JUST the lenders I’ve worked with or know work with new operators. Always get multiple quotes. Watch for prepayment penalties, payoff fees, and junk fees over a few thousand.

- 189. Kiavi
- 190. Anchor Loans
- 191. Genesis Capital
- 192. Easy Street Capital
- 193. RCN Capital

How to Build Your Own Tools (Cheap)

TECHNOLOGY IS AT a really interesting place right now. What I could do two years ago for \$100,000, I can do in two weeks for a couple thousand dollars. Here’s how to use that, if you want to build your own operator tools without going to a software company that will overcharge you 10x.

Important truth first: the technology isn’t the value. The experience in your brain is what makes the technology worth anything. Give an AI vague direction and it builds you something worthless very fast. Give it focused direction from someone who actually knows the business, and it builds something real.

The operator playbook for building a personal tool:

- **Don’t go to a software company.** They’ll charge you 10x what you need to pay, and most of what they do is what you can do yourself now.
- **Open ChatGPT.** Tell it: “I want to build [the thing]. Interview me. Ask me every question you need to ask to build a clear technical specification.” Let it interview YOU. Don’t try to write the spec yourself.
- **Have ChatGPT build a working HTML prototype.** Just ask. “Build me an HTML mockup that looks like this. Move this button there. Make the table sortable.” Iterate live in conversation until it looks like what you want.

- **Have ChatGPT write a technical document** based on the spec and the prototype. Now you have a complete brief.
- **Go to Upwork.** Find a developer with good ratings at around \$10/hour. Give them your technical document and your HTML prototype.
- **Get a few quotes.** Ask each one how many hours to build it. If anyone quotes more than ~20 hours for a typical operator-tool MVP, get more quotes.

Why this works now (and didn't 2 years ago): Nobody is hand-coding from scratch anymore. The good developers use AI to write 95% of the code — they're managing the AI, debugging, and shipping. That means YOU can do most of the same work without being a coder. You can have multiple jobs in parallel as long as you're moving things forward and confirming each piece works.

Disclaimer: this works for a PERSONAL tool — a tracker, a calculator, a custom dashboard. For a real business platform with multi-user, multi-tenant, security, payments, and scale (like what we built with FlipiQ) — different conversation, different investment. But for the operator who wants to build their own internal tools cheap, this is how.

Podcast

THE FLIPPING TRUTH — A podcast I'm working to revive. The same content as this book, but in real-time, with guests, callers, and current market reactions.

Contact

IF YOU WANT TO reach me:

194. Email: Tony@flipiq.com

195. LinkedIn: <https://www.linkedin.com/in/tony-diaz-2a0a7417/>

I read everything. I respond to most. If you make your first million and want to buy me that beer — this is how you find me.

One Final Tip

DROP THIS ENTIRE BOOK into a ChatGPT project. Use it as your free coach for the next 5 years. Every time you're stuck on a real deal — agent issue, contractor question, financing decision, buyer drama — go back to your project and ask it: "Here's what I'm dealing with. Based on Tony's book, what would he do?"

The book becomes a coach instead of a paperweight. Use it that way.





Appendix

The Field Guide — Reading the Players Fast

THREE STORIES FROM THE field — and a cheat sheet for reading every player you'll meet.

You've already read about the major players in their natural homes. Chapter 3 named the competitors (institutions, agent-flippers, cash buyers). Chapter 5 mapped wholesalers. Chapter 6 framed lenders and partners. Chapter 8 broke down contractors.

This appendix is the field-guide overlay. The unique lessons I haven't told yet. And a cheat sheet for the 90-second read on every player you'll meet at a closing table or on a phone call.

Story 1 — The JV Partner Who Operated Out of Fear

I HAD A JV partner once — money from his family. Cool guy. Smart. Liked him. We did a few loans together. Got through COVID together. He even said to me, *"Tony, I thought you were going to screw me. You navigated that better than anyone. You're one of the best flippers I've worked with."*

Then I underbudgeted a scope on a deal — single-family with an ADU in the back. Mid-transaction I started moving numbers around to make it work. My fault, my mistake. I assumed the trust we'd built meant he'd look at my revised math and adjust. He didn't. He wouldn't shift the budget. I had to put my own money in to finish.

He wasn't wrong. I picked the wrong partner for the way I operate.

He trusted documents. I came at him with a relationship. The relationship couldn't override a budget that didn't match the original paperwork. He wasn't being difficult — he was being who he'd told me he was from day one. I just didn't listen.

Lesson — read the lender's operating system before you do the deal. Some lenders trust the document. Some lenders trust the person. Mixing them up is on you, not them. The document lender wants everything bulletproof up front, in writing, with no surprises. Bring them paperwork, not a smile. The relationship lender trusts the person and adjusts on the fly. Bring them the smile, the history, the relationship. Paperwork is

supporting evidence. Mix them up and you're putting your own money in the deal to bridge what your lender wouldn't.

Story 2 — The Custom-Picking Buyer

MID-REHAB, A GUY WALKED through. Really cool guy. *"I want it. Can I start picking finishes?"* He wanted custom light fixtures, custom this, custom that. He was going to pay for it.

So I let him pick stuff. He chose light fixtures way outside my normal Home Depot Special budget. He paid for the upgrades. I installed.

By close, he'd been in the house ten times. He'd "designed" his version of it. He thought of it as HIS house. So at closing he extracted concessions on every imaginable flaw, "noticed" every small thing, and shaved \$20,000 off the final price.

Three rules from that story:

- **Do not pre-market the property.** The market is your real exit. Don't sell before you list. Pre-market buyers always extract concessions because they think they're doing you a favor.
- **Do not customize for a pre-close buyer.** Ever. If they want custom finishes, they can do it themselves AFTER close. The moment you're picking light fixtures with someone who hasn't signed, you've made them a partner — and partners renegotiate.
- **Do not let your agent double-end the FIRST offer.** Buying side and selling side are different games. On the BUY side you LOVE the double-ending agent — their incentive aligns with bringing you the deal (Chapter 5). On the SELL side, watch out for the agent who pushes you to accept the first buyer they bring just because THEY get the double commission. That agent isn't worried about your bottom line — they're worried about locking in two commissions on the same transaction. Let the property hit the open market first. See what every other buyer says. If their pre-baked buyer is still the strongest after that, great — double-end with confidence. If a better offer comes from the market, take it. Either way you've protected your number.

Story 3 — The Grandma Who Pulled Her Money

DIFFERENT DEAL. PROPERTY FUNDED. Documents signed. Lender wired. Buyer ready to record. The buyer was getting his last bit of capital from his grandmother — last gift, family money, all of that.

Grandma decided last minute to pull the plug. Hours before recording. The buyer scrambling, lender calling, escrow holding everything in limbo.

Days before the collapse, the buyer had asked: *"Can I move some stuff into the garage? Just my truck, some boxes?"* I said no.

Why no? Every single time I've ever said yes, it's been a disaster. Three reasons:

- **Insurance nightmare.** They walk in, break a nail on the doorframe — now they're suing you for an injury on your property.
- **They find new things wrong.** Buyers in the house pre-close suddenly "notice" the cracks, the seals, the old water heater. None of it mattered before. All of it matters now.
- **They break things and you eat it.** Box on the quartz, lean on the closet door, slip on the wet driveway — your responsibility, your property.

If I'd let him into the garage and grandma pulled the money, I'd have had to evict his stuff out of my own house.

Rule: don't let a buyer in the house until the deed is recorded. Not for moving boxes. Not for measurements. Not for Christmas. Never.

Capital Without Competence — The Open Door Lesson

A LINE WORTH SAYING once. I've watched institutional operators come in with rich-dad money and Wall Street credentials and burn through hundreds of millions. Open Door is the obvious example — a freaking disaster. Lots of very smart people who don't know much about our business.

Capital alone doesn't make you an operator. Operations make you an operator. The institutions that survive in this business learned operations first and layered capital on. The ones who tried to capital their way past learning operations always burn.

That's a lesson for the institutional player. It's also a lesson for the beginner who thinks money is the solution to inexperience. It isn't.

Never Trust ARV from an Agent or Wholesaler

ONE RULE THAT DOESN'T fit anywhere else in the book but matters here:

Never take the after-repair value from an agent or wholesaler who is selling you the property. They are SELLING you. Their number is the sales number, not the truth number. Your ARV comes from sold comps you pull yourself, or from an agent on YOUR team who only benefits if you make money on the sale. Anyone selling you the deal cannot also be the source of truth on the exit. Structural conflict. Always.

The Tells in 90 Seconds — Cheat Sheet

FOR WHEN YOU NEED a one-page reference at a closing table or on a cold call:

Player	Ask them	Listen for
Listing agent	<i>"Do you double-end?"</i>	Speed of yes/no = their flexibility
Wholesaler	<i>"Direct to seller? Wire to escrow?"</i>	Hesitation = run
Seller	<i>"Why are you selling?"</i>	Specificity = real motivation
Lender	<i>"If I miscall a number mid-rehab, what's our process?"</i>	Document lender vs. relationship lender
Contractor	(hand them the Exclusions document)	"Fair enough" vs. invented excuses
Buyer	(no questions — actions)	Pre-close demands = future closing disasters
Predator	(no questions — they're talking)	If they're selling you something on first meeting = walk

The Predators in Disguise — Final List

THREE YOU'LL MEET EVENTUALLY, in addition to the ones already covered in Chapter 1:

196. **The pretend operator.** Lots of show, no closes. Drops names. Talks about "their deals" without specifics. Won't introduce you to their lender, their

contractor, or their last property. Check their record on public data — there usually isn't one.

197. **The “joint venture” person looking for a free education.** Wants to “partner” with you on your next deal. Won't bring capital. Won't bring contractors. Won't bring agents. What they're bringing: themselves. What they want: your time and your network. Run.

198. **The relative who's “always wanted to get into this.”** Wants in on your next flip “just for a piece.” Doesn't have money. Doesn't have time. Doesn't have skills. Has expectations and a family relationship that will outlast the deal. This one ambushes more beginners than any other. Politely say no.

The Closer

THE FIELD IS FULL of people who look like operators, sound like operators, and aren't. It's also full of allies you'd never recognize if you didn't know the tells.

Read them fast. Treat allies like gold. Treat predators with professional distance. Never give either group your trust before they've earned it — and never extend the same trust forever without re-checking it.





About the Author

TONY DIAZ HAS BEEN in the real estate business for 32 years. He got his license at 18 and flipped his first house in 1993, earning Rookie of the Year at the Century 21 Beachside office in Chino, California. Over the next three decades he flipped more than 1,132 properties across Southern California — one of the most competitive markets in the country — surviving the 2008 crash, the rebuild that followed, and every cycle since.

Today he is the founder of FlipiQ, the operating system used by professional real estate investors to find, underwrite, and execute deals at operator speed. He is also the co-creator of iBuyer Connect with Cloud CMA, a technology that millions of agents rely on.

After thirty years of chasing trophies, Tony figured out the part that matters: keep the trophy, send the paycheck — and help other people win along the way.